

ANNUAL REPORT
BAID MERCANTILES LIMITED
FINANCIAL YEAR – 2023-24

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website: www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

BOARD OF DIRECTORS

Mr. Jayesh Maitra Majumder – Chairman and Non-Executive Director

Mr. Binod Kumar Khandelwal – Managing Director

Mr. Akhilesh Prasad Shaw – Non Executive, Independent Director

Mrs. Sabita Khandelwal – CFO and Whole Time Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

CHIEF FINANCIAL OFFICER

Mrs. Sabita Khandelwal

COMPANY SECRETARY

Ms. Jyoti Shaw

AUDIT COMMITTEE

Mr. Akhilesh Prasad Shaw - Chairman of the Committee and Independent Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

Mr. Jayesh Maitra Majumder - Non – Executive Director

NOMINATION AND REMUNERATION COMMITTEE

Mr. Akhilesh Prasad Shaw - Chairman of the Committee and Independent Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

Mr. Jayesh Maitra Majumder - Non – Executive Director

STAKEHOLDERS' RELATIONSHIP COMMITTEE

Mr. Akhilesh Prasad Shaw - Chairman of the Committee and Independent Director

Mr. Ashish Kumar Upadhyay - Non Executive, Independent Director

Mr. Jayesh Maitra Majumder - Non – Executive Director

STATUTORY AUDITORS

M/s G.P. Agrawal & Co., Chartered Accountants

SECRETARIAL AUDITOR

Ms. Sweety Sharma, Practicing Company Secretary

REGISTRAR & SHARE TRANSFER AGENT

Niche Technologies Private Limited

3A, Auckland Place 7th Floor, Room No. 7A & 7B, Kolkata – 700017

BANKERS

Indian Overseas Bank

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

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BOARD'S REPORT

To The Members,

The Board of Directors of your Company have pleasure in presenting the 36th Annual Report on the business and operations of the Company and the audited financial statements for the Financial Year ended March 31, 2024.

1. BACKGROUND

BAID MERCANTILES LTD (“Company”) is a Non-Banking Financial Company incorporated under the Companies Act, 1956 and holds a certificate of registration from the Reserve Bank of India (“RBI”) under section 45IA of the RBI Act, 1934. The Company is engaged in the business of making long-term and short-term investments, without accepting public deposits.

2. FINANCIAL SUMMARY OR HIGHLIGHTS/PERFORMANCE OF THE COMPANY

(Amount in Lacs)

Particulars	FINANCIAL YEAR ENDED	
	MARCH 31, 2024	MARCH 31, 2023
REVENUE FROM OPERATIONS	277.89	-
OTHER INCOME	18.06	18.07
I. TOTAL INCOME	295.95	18.07
Change in Inventories of Stock in Trade	0.00	0.00
Employee Benefit Expenses	22.79	21.33
Other Expenses	3.45	3.58
II. TOTAL EXPENSES	26.24	24.91
III. EBIDT	269.71	(6.84)
Finance Costs	-	-
Depreciation & amortization Expenses	-	-
IV. PROFIT/(LOSS) BEFORE TAX	269.71	(6.84)
V. TAX EXPENSES:		
(1) Current Tax	(2.59)	2.59
(2) Deferred Tax	54.73	-
(3) Income Tax for Earlier Years	-	-
VI. PROFIT(LOSS) FOR THE PERIOD	217.57	(9.43)

3. CHANGE IN THE NATURE OF BUSINESS, IF ANY

There has been no change in the nature of the business or operational activities of the Company during the year under review.

4. DIVIDEND

No dividend has been declared by the Board of Directors for the Financial Year under review.

5. TRANSFER TO RESERVES

The Company has transferred 20% of its Net Profit amounting to ₹ 43.51 Lacs, to the Reserve Fund as required under section 45-IC of the Reserve Bank of India Act, 1934.

6. SHARE CAPITAL

During the year under review, there has been no change in the Share Capital structure of the Company.

7. DETAILS OF SUBSIDIARY / JOINT VENTURES / ASSOCIATE COMPANIES

The company does not have any Subsidiary, Associates and Joint Ventures.

8. BOARD OF DIRECTORS AND KEY MANAGERIAL PERSONNEL

As on the date of this report, the Board of Directors of the Company comprises of five Directors. There are two Executive Directors, one Non-executive Non-independent Director and two Non-executive Independent Directors. As on March 31, 2024, following are the Directors and KMPs of the Company:

Sl No.	Name	Designation	Category
1.	Binod Kumar Khandelwal	Managing Director	Executive Director
2.	Jayesh Maitra Majumder	Director	Non-executive Non-Independent Director
3.	Akhilesh Prasad Shaw	Director	Non-executive Independent Director
4.	Ashish Kumar Upadhyay	Director	Non-executive Independent Director
5.	Sabita Khandelwal	Whole-time director & Chief Financial Officer	Executive Director
6.	Jyoti Shaw	Company Secretary and Compliance Officer	-

In accordance with the provisions of the Companies Act, 2013, read with the Articles of Associations of the Company, Mrs. Sabita Khandelwal (DIN- 07290866), Whole time Director of the Company, shall retire by rotation at the ensuing Annual General Meeting and being eligible, has offered herself for Re-appointment.

All the directors meet the 'fit and proper' criteria stipulated by RBI Master Direction.

Declaration given by Independent Director(s) and Re-Appointment

The Company has received a declaration from all the Independent Directors of the Company declaring that they meet the criteria of Independence as provided in Section 149(6) of the Companies Act, 2013, read with the Schedules and Rules issued there under, as well as clause (b) of sub-regulation (1) of Regulation 16 of the **SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 ('SEBI Listing Regulations')** (including any statutory modification(s) or re-enactment(s) thereof for the time being in force). In terms of Regulation 25(8) of the Listing Regulations, the Independent Directors have confirmed that they are not aware of any circumstance or situation, which exists or may be reasonably anticipated, that

could impair or impact their ability to discharge their duties with an objective independent judgment and without any external influence.

9. MEETINGS

During the Financial Year 2023-2024, 7 (Seven) Board Meetings were held on 03.04.2023, 29.05.2023, 10.08.2023, 25.08.2023, 10.11.2023, 12.02.2024 and 30.03.2024. The Intervening gap between the Meetings was within the period prescribed under the Companies Act, 2013.

10. PARTICULARS OF EMPLOYEES

The Company has no employees getting remuneration in excess of the limited prescribed under Rule 5(2) of the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014 during the year under review.

11. POLICY ON APPOINTMENT OF DIRECTORS AND REMUNERATION POLICY OF THE COMPANY

The Nomination and Remuneration Committee develops the competency requirements of the Board based on the Industry and the strategy of the Company, conducts a gap analysis and recommends the reconstitution of the Board, as and when required. It also recommends to the Board, the appointment of Directors having good personal and professional reputation and conducts reference checks and due diligence of all Directors before recommending them to the Board. Besides the above, the NRC ensures that the new Directors are familiarized with the operations of the Company and endeavours to provide relevant training to the Directors.

The Remuneration Policy for Directors, Key Managerial Personnel ("KMP") and all other employees is aligned to the philosophy on the commitment of fostering a culture of leadership with trust.

The Remuneration Policy aims to ensure that the level and composition of the remuneration of the Directors, KMP and all other employees is reasonable and sufficient to attract, retain and motivate them to successfully run the Company.

12. BOARD EVALUATION

Pursuant to the provisions of the Companies Act, 2013 and SEBI Listing Regulations, the Board has carried out an annual performance evaluation of its own performance, the directors individually as well as the evaluation of the working of the committees of the Board. The Board of Directors was assisted by the NRC. The performance evaluation was carried out by seeking inputs from all the Directors/Members of the Committees, as the case may be. The Directors expressed their satisfaction with the evaluation process.

The Independent Directors of the Company also had a separate meeting on February 12, 2024, to review the performance and evaluation of Non- Independent Directors and the Board as a whole.

13. STATUTORY AUDITORS

The Board of Directors of the Company, on the recommendation of the Audit Committee, had appointed **M/s. G. P. Agrawal & Co.**, Chartered Accountants, FRN: 302082E, as the Statutory Auditors of the Company for the Financial Year 2023-24, at their meeting held on May 15, 2024, to fill the casual vacancy caused by resignation of previous Statutory Auditors of the Company, **M/s. Ranjit Jain & Co.**, Chartered Accountants.

Further, the Audit Committee of the Company, at their meeting held on May 15, 2024, noted the resignation of the previous Statutory Auditors of the Company, M/s. Ranjit Jain & Co., Chartered

Accountants, was caused due to the lapse of their Peer Review Certificate and accordingly, being ineligible to issue Audit Report(s), as per the requirements of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The Committee also noted that the previous Auditors have not raised any other concern / issue / reason for their resignation, except as stated above.

The above mentioned appointment of **M/s. G. P. Agrawal & Co.**, Chartered Accountants, as the Statutory Auditors of the Company for the Financial Year 2023-24, is subject to approval by members of the Company and they shall hold the office till the conclusion of the ensuing Annual General Meeting of the Company.

14. AUDITORS' REPORT

The Auditors' Report does not contain any qualification, reservation or adverse remark, is unmodified. The notes on financial statement referred to in the Auditors' Report are self explanatory and do not call for any further clarification.

15. SECRETARIAL AUDIT REPORT

Pursuant to the provisions of Section 204 of the Companies Act, 2013 and the Companies (Appointment and Remuneration of Managerial Personnel) Rules, 2014, the Board of Directors had appointed Ms. Sweety Sharma, Practising Company Secretary, to undertake the Secretarial Audit of the Company, for the Financial Year 2023-24. The Secretarial Audit Report, in the prescribed **Form No. MR-3** is annexed to the Board Report. There are no qualifications, reservations, adverse remarks or disclaimers made by Ms. Sweety Sharma in her Secretarial Audit Report dated May 22, 2024, on the secretarial and other related records of the Company.

16. INTERNAL FINANCIAL CONTROL SYSTEM

During the Financial year under review, the Company endeavored to improve the control environment, based on the suggestions and recommendations of the Audit Committee, Internal Auditors and Independent Directors.

The Internal Auditor monitors and evaluates the efficiency and adequacy of Internal Financial Control System in the Company, its compliance with operating systems, accounting procedures and policies. The Company has adequate Internal Financial Control System commensurate with its size, nature and complexities of the business.

17. COMMITTEES OF THE BOARD

A. Composition of Audit Committee ("AC")

The composition of the Audit Committee as on date of this Report is, given below:

Name of the Member(s)	Category
Mr. Akhilesh Prasad Shaw	Chairman and Independent Director
Mr. Ashish Kumar Upadhyay	Independent Director
Mr. Jayesh Maitra Majumder	Non – Executive Director

The composition of the Audit Committee is in line with the provisions of Section 177 of the Companies Act, 2013, regulation 18 of SEBI (LODR), 2015 Regulations and RBI Master Direction. All the Members of the committee have the ability to read and understand financial statements and have relevant finance and / or audit experience. The Committee met four times during the year under review on the following dates: 29.05.2023, 10.08.2023, 10.11.2023 and 12.02.2024. The meetings were attended by all the Members of the Committee.

B. Nomination & Remuneration Committee ("NRC")

The composition of the Nomination & Remuneration Committee as on date of this Report is, given below:

Name of the Member(s)	Category
Mr. Akhilesh Prasad Shaw	Chairman and Independent Director
Mr. Ashish Kumar Upadhyay	Independent Director
Mr. Jayesh Maitra Majumder	Non – Executive Director

The responsibilities of the NRC, inter alia, include:

- To formulate the criteria for determining qualifications, positive attributes and independence of a director and recommend to the Board, a policy relating to the remuneration for the directors, key managerial personnel and other employees;
- To review the performance of the Managing / Whole-Time / Executive Directors on predetermined parameters and approve the remuneration / compensation packages within prescribed limits;
- To identify persons who are qualified to become directors and who may be appointed in senior management in accordance with the criteria laid down and recommend to the Board, their appointment and removal and to carry out evaluation of every director's performance.

The Committee met twice during the year under review on 25.08.2023 and 12.02.2024. The meeting was duly attended by all the Members of the Committee. The Nomination and Remuneration Policy is available for members of the company for inspection at its registered office during the working hours of the company and copy of same will be sent to the member on request as per Section 136 of the Companies Act, 2013.

C. Stakeholders' Relationship Committee ("SRC")

The composition of the Stakeholders' Relationship Committee as on date of this Report is, given below:

Name of the Member(s)	Category
Mr. Akhilesh Prasad Shaw	Chairman and Independent Director
Mr. Ashish Kumar Upadhyay	Independent Director
Mr. Jayesh Maitra Majumder	Non – Executive Director

The responsibilities of the SRC, inter alia, are to consider and resolve the grievances /complaints of security holders of the Company. The Committee met once during the year under review on 12.02.2024. The meeting was duly attended by all the Members of the Committee.

D. Vigil Mechanism

The Board has adopted the Vigil Mechanism, which also incorporates a Whistle Blower policy to promote reporting of any unethical or improper practice or violation of the Company's Code of Conduct or complaints regarding its accounting, auditing, internal control or disclosure practices. It gives platform to a Whistle Blower to report any unethical or improper practice (not necessary violation of Law) and to define processes for receiving and investigating complaints. The confidentiality of those reporting violations is maintained and provide adequate safeguards against victimisation of persons who use such mechanism. The Chairman of the Audit Committee is empowered to oversee the functioning and to ensure the effectiveness of the Vigil Mechanism and Whistle Blower Policy.

18. RISK MANAGEMENT POLICY

The Risk Management Policy of the Board is set up to assist the Board in its oversight of various risks, analyze risk exposure and risk minimization procedure related to specific issues and review the risk profile across the Company. The Charter of the Risk Management Policy is approved by the Board and lays down the risk management processes and controls.

19. NOMINATION AND REMUNERATION POLICY

The Nomination and Remuneration Policy of the Company empowers the Nomination and Remuneration Committee to formulate a process for evaluating the performance of Individual Directors, Committees of the Board and the Board as a whole.

The Company's policy relating to appointment of Directors, payment of Managerial Remuneration, Directors' qualifications, positive attributes of Independence of Directors and other related matters as provided under Section 178 (3) of the Companies Act, 2013 is not attached as Annexure in this report.

Further, in terms of Section 136(1) of the Companies Act and the rules made thereunder, any shareholder interested in obtaining a copy of the above policy may write to the Company Secretary.

20. DETAILS OF SIGNIFICANT AND MATERIAL ORDERS PASSED BY THE REGULATORS / COURTS/TRIBUNALS IMPACTING THE GOING CONCERN STATUS AND THE COMPANY'S OPERATIONS IN FUTURE

There have been no significant and material orders passed by the Regulators or Courts or Tribunals impacting the going concern status and Company's operations in future.

21. MATERIAL CHANGES AND COMMITMENTS, IF ANY, AFFECTING THE FINANCIAL POSITION OF THE COMPANY WHICH HAVE OCCURRED BETWEEN THE END OF THE FINANCIAL YEAR OF THE COMPANY TO WHICH THE FINANCIAL STATEMENTS RELATE AND THE DATE OF THE REPORT

There have been no material changes and commitments, affecting the financial position of the Company, which have occurred between the end of Financial Year of the Company to which the Financial Statements relate and the date of the Report.

22. DEPOSITS

The Company being a non-deposit taking Non-Banking Financial Company ("NBFC"), has not accepted any deposits from the public during the year under review. Hence, no information is required to be appended to this report in terms of Non-Banking Financial Companies Acceptance of Public Deposits (Reserve Bank) Directions, 2016.

23. PARTICULARS OF LOANS, GUARANTEES AND INVESTMENTS UNDER SECTION 186 OF THE COMPANIES ACT, 2013

The Company being a Non-Banking Financial Company, provisions of Section 186 relating to loans, guarantees and investments are not applicable upon the Company.

24. PARTICULARS OF CONTRACTS OR ARRANGEMENTS WITH RELATED PARTIES:

During the Financial Year 2023-2024, no contracts/transactions/arrangements were undertaken with related parties, which were not at arm's length basis or would qualify as material transactions under the Companies Act, 2013 or the SEBI Listing Regulations, 2015 or RBI Guidelines. Accordingly, the disclosure in **Form AOC-2** is not required.

The Company's policy relating to Related Party Transactions is not attached as Annexure in this report.

Further, in terms of Section 136(1) of the Companies Act and the rules made thereunder, any shareholder interested in obtaining a copy of the above policy may write to the Company Secretary.

25. CORPORATE GOVERNANCE REPORT

Since the Company's Paid-up Share Capital does not exceed Rupees Ten Crores and Net Worth does not exceed Rupees Twenty Five Crores, Corporate Governance Report, prescribed under Regulation 27 of the Securities and Exchange Board of India (Listings Obligations and Disclosures Requirements) Regulations, 2015 is not applicable upon the Company.

26. MANAGEMENT DISCUSSION AND ANALYSIS REPORT

As per the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 and RBI Regulations, a report on Management Discussion and Analysis is attached in Annexure to this Annual Report. The disclosure relating to Management Discussion and Analysis Report has been attached as **Annexure-I**.

27. DISCLOSURES UNDER SEXUAL HARASSMENT OF WOMEN AT WORKPLACE (PREVENTION, PROHIBITION AND REDRESSAL) ACT, 2013

The Company has adopted the policy on Redressal of Sexual and Workplace harassment as per the Sexual Harassment of Women at Workplace (Prevention, Prohibition and Redressal) Act, 2013 ("Sexual Harassment Act"). During the year under review, no case of sexual harassment was reported.

28. CONSERVATION OF ENERGY, TECHNOLOGY ABSORPTION, FOREIGN EXCHANGE EARNINGS AND OUTGO

The particulars of Conservation of Energy and Technology Absorption as required under Section 134(3)(m) of the Companies Act, 2013 read with the Companies (Accounts) Rules, 2014 are not applicable to the Company.

During the Financial Year-2023-24, there were no foreign exchange earnings and outgo.

29. CORPORATE SOCIAL RESPONSIBILITY (CSR)

As per section 135 of the Companies Act, 2013, the provisions of Corporate Social Responsibility do not apply to the Company.

30. MAINTENANCE OF COST RECORDS

The Company is not required to maintain Cost Records as specified by the Central Government under sub-section (1) of section 148 of the Companies Act, 2013.

31. COMPLIANCE OF ALL SECRETARIAL STANDARDS

The Directors have devised proper systems to ensure compliance with the provisions of all applicable Secretarial Standards and that such systems are adequate and operating effectively.

32. DIRECTORS' RESPONSIBILITY STATEMENT

The Directors' Responsibility Statement referred to in clause (c) of sub-section (3) of Section 134 of the Companies Act, 2013, shall state that—

- i. In the preparation of the Annual Financial Statement for the Financial Year ended March 31, 2024, the applicable accounting standards read with requirements set out under Schedule III to the Companies Act, 2013 and there are no material departures from the same.;
- ii. The Directors had selected such accounting policies and applied them consistently and judgements and estimates have been made that are reasonable and prudent so as to give a true and fair view of the state of affairs of the Company as at March 31, 2024 and of the Profit / Loss of the company for that period.
- iii. The Directors had taken proper and sufficient care for the maintenance of adequate accounting records in accordance with the provisions of the Companies Act, 2013 for safeguarding the assets of the company and for preventing and detecting fraud and other irregularities;
- iv. The Directors had prepared the accounts for the Financial Year ended March 31, 2024 on a 'going concern' basis;
- v. The Directors had laid down internal financial controls to be followed by the Company and that such internal financial controls are adequate and were operating effectively.
- vi. The Directors had devised proper systems to ensure compliance with the provisions of all applicable laws and that such systems were adequate and operating effectively.

33. TRANSFER OF AMOUNTS TO INVESTOR EDUCATION AND PROTECTION FUND

The Company was not required to transfer any funds/ shares to the Investor Education and Protection Fund (IEPF), during the Financial Year under review.

34. CODE OF CONDUCT

The Board of Directors has approved a Code of Conduct, which is applicable to the members of the Board and all Employees in the course of day-to-day business operations of the Company and all the board members have affirmed compliance with the applicable code of conduct.

35. ACKNOWLEDGEMENTS

The Board of Directors of the Company would like to place on record their gratitude for the valuable guidance and support received from RBI, SEBI, Registrar of Companies and other Government and Regulatory agencies and to convey their appreciation to its customers, bankers, vendors and all other business associates for the continuous support given by them to the Company. The Directors also place on record their appreciation for all the employees of the Company for the commitment, team work, professionalism and the resilience and dedication demonstrated by them.

FOR AND ON BEHALF OF THE BOARD OF DIRECTORS

***Place: Kolkata
Date: 30.05.2024***

***JAYESH MAITRA MAJUMDER
CHAIRMAN
(DIN: 02664850)***

ANNEXURE-I

MANAGEMENT DISCUSSION AND ANALYSIS REPORT

OVERVIEW

M/s. BAID MERCANTILES LIMITED is a NBFC–ND Non-Systematically Important Company registered with the Reserve Bank of India and classified as a Base layer NBFC as per RBI Master Direction. The Company has diversified investment portfolio. The main business of the Company is to make long-term and short-term investment in shares, securities, mutual funds and other permissible securities.

1. INDUSTRY STRUCTURE AND DEVELOPMENTS

In recent years, NBFCs have played vital role in providing the credit needs of a large section of the population and has emerged as important source of finance for individuals, corporates and MSMEs. They are fulfilling various financial needs of the borrowers in prompt, secure and efficient way. Introduction of digital lending and latest technologies such as artificial intelligence helped NBFCs to increase their customer base and enhanced overall customer experience.

The role of NBFCs is remarkable in growth of MSMEs sector by providing them collateral free loans under various government led schemes. Earlier, MSMEs used to face various challenges for obtaining loan from traditional banks. NBFCs with their low cost funding, prudent risk management and adequate capital is likely to deliver sustainable growth in near future.

2. OPPORTUNITIES AND THREATS

NBFCs have become integral part of financial resources in Indian economy by understanding the customer needs and accordingly providing the customized services with lower financial cost and less paper work. Large numbers of MSMEs have been benefited from financial services provided by the NBFCs. The NBFC business has been emerged more significantly in recent year through adoption of end to end digitisation in loan obtaining process to their customers.

NBFCs have brought the much needed diversity to the financial sector by diversifying the risks, increasing liquidity in the markets thereby promoting financial stability and bringing efficiency to the financial sector.

Our company has developed a business model which focuses on risk minimization and profitability to the company. Company is thoroughly exploring investment opportunities in various shares, securities, bonds and mutual funds etc. Company is also analyzing various loan requests from individuals, MSMEs and corporates for providing short term and long term loan and advances.

The regulatory authority, Reserve Bank of India (RBI) has brought many amendments in prudential norms and regulatory framework for monitoring NBFCs in past few years.

The RBI vide Notification RBI/DoR/2023-24/106 DoR.FIN.REC.No.45/03.10.119/2023-24, dated October 19, 2023, has introduced scale based regulatory framework for NBFCs. The regulatory framework classifies NBFCs into four layers (Base, Middle, Upper, and Top) based on their size, activity and perceived riskiness. Further, RBI has conducted various surveys to ascertain the functioning of the NBFCs from its registered address, beneficial ownership, Group companies, tie-ups with digital lending apps/platforms/fin-tech etc. Accordingly, RBI has cancelled the Certificate of registration (CoR) due to non-adherence of applicable provisions by NBFCs.

Some of the other external threats are faced by NBFCs are:

1. credit risk,
2. liquidity risk and
3. interest rate risks
4. Market risk
5. Technology risk
6. Compliance risk

All these risks are continuously analysed and reviewed at various levels of management through an effective information system.

3. SEGMENT-WISE OR PRODUCT-WISE PERFORMANCE

The Company does not operate in multiple segments. The necessary information w.r.t. the financial performance of the Company is disclosed in the Directors Report Para 2 and the enclosed Balance Sheet and Profit and Loss Account.

4. OUTLOOK

The Outlook of the Company is to maximize the overall profitability and growth of the company through robust investment and Financing decisions. The Company will focus on creating comprehensive framework for sustainable business and stakeholder relationship management. The Company will strive to achieve good corporate governance, ethical conduct and adherence to regulatory requirements.

5. RISKS AND CONCERNS

Risk Management is an essential part of the Company's business strategy with focus on building risk management culture across the organisation. The Risk Management oversight structure includes Committees of the Board and Senior Management Committees. The Risk Management process lays down comprehensive framework which helps to identify the existing and probable risks associated with business and to take appropriate measures to monitor and mitigate the same. The risk assessment and mitigation measures are reviewed by the risk management committee periodically.

6. INTERNAL CONTROL SYSTEMS AND THEIR ADEQUACY

The Company's internal control system is designed to ensure operational efficiency, protection and conservation of resources, accuracy and promptness in financial reporting and compliance with laws and regulations. The internal control system is

supported by an internal audit process for reviewing the design, adequacy and efficacy of the Company's internal controls, including its systems and processes and compliance with regulations and procedures. The Company's internal control system is commensurate with its size and the nature of its operations to ensure robust control framework. The Audit Committee of the Company periodically takes the corrective actions to strengthen the internal control framework.

7. DISCUSSION ON FINANCIAL PERFORMANCE WITH RESPECT TO OPERATIONAL PERFORMANCE

The Company is turning profitable and the Net Losses have decreased on a year-to-year basis. The Financial Performance of the Company has been referred to Para 2 of the Board Report.

8. MATERIAL DEVELOPMENTS IN HUMAN RESOURCES/INDUSTRIAL RELATIONS FRONT, INCLUDING NUMBER OF PEOPLE EMPLOYED

The Company has embarked on its journey of "Happiness & Safety at the workplace" which has helped to look at employee engagement in a more holistic way. Further, the company has 4 employees during the period under review.

FOR AND ON BEHALF OF THE BOARD OF DIRECTORS

JAYESH MAITRA MAJUMDER
CHAIRMAN
(DIN: 02664850)

Place: Kolkata
Date: 30/05/2024



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

**SECRETARIAL AUDIT REPORT
for the financial year ended 31st March, 2024**

*[Pursuant to section 204(1) of the Companies Act, 2013 and Rule
No.9 of the Companies (Appointment and Remuneration of Managerial
Personnel) Rules, 2014]*

**SECRETARIAL AUDIT REPORT
for the financial year ended
31st March, 2024**

To,
The Members,
Baid Mercantiles Ltd
58 Elliot Road, 2nd Floor
Kolkata – 700016

I have conducted the secretarial audit of the compliance of all the applicable statutory provisions and the adherence to good corporate practices by **Baid Mercantiles Limited** (hereinafter called "the company"). Secretarial Audit was conducted in a manner that provided me a reasonable basis for evaluating the corporate conducts/statutory compliances and expressing my opinion thereon.



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

Based on my verification of books, papers, minute books, forms and returns filed and other records maintained by the company and also the information provided by the Company, its officers, agents and authorized representatives during the conduct of secretarial audit,

I hereby report that in my opinion, the company has, during the audit period covering the financial year ended on **31st March, 2024** (Audit period), complied with the statutory provisions listed hereunder and also that the Company has proper Board processes and compliance mechanism in place to the extent, in the manner and subject to the reporting made hereinafter:

I have examined the books, papers, minute books, forms and returns filed and other record maintained by **Baid Mercantiles Ltd** ("the company") for the financial year ended on **31st March, 2024** according to the provisions of the following laws :

- (i) The Companies Act, 2013 (the Act) and the rules made thereunder;
- (ii) The Securities Contracts (Regulation) Act, 1956 ('SCRA') and the rules made thereunder;
- (iii) The Depositories Act, 1996 and the Regulations and Bye-laws framed thereunder;
- (iv) Foreign Exchange Management Act, 1999 and the rules and regulations made thereunder to the extent of Foreign Direct Investment, Overseas Direct Investment and External Commercial Borrowings; **(Not applicable to the Company during the Audit Period)**



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

- (v) The following Regulations and Guidelines prescribed under the Securities and Exchange Board of India Act, 1992 ('SEBI Act') to the extent applicable to the Company :-
- a) The Securities and Exchange Board of India (Substantial Acquisition of Shares and Takeovers) Regulations, 2011;
(Not applicable to the Company during the Audit Period)
 - b) The Securities and Exchange Board of India (Prohibition of Insider Trading) Regulations, 2015;
 - c) The Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018;
(Not applicable to the Company during the Audit Period)
 - d) The Securities and Exchange Board of India (Employee Stock Option Scheme and Employee Stock Purchase Scheme) Guidelines, 1999; **(Not applicable to the Company during the Audit Period)**
 - e) The Securities and Exchange Board of India (Issue and Listing of Debt Securities) Regulations, 2008; **(Not applicable to the Company during the Audit Period)**
 - f) The Securities and Exchange Board of India (Registrars to an Issue and Share Transfer Agents) Regulations, 1993 regarding the Companies Act and dealing with client;
 - g) The Securities and Exchange Board of India (Delisting of Equity Shares) Regulations, 2021; **(Not applicable to the Company during the Audit Period)**
 - h) The Securities and Exchange Board of India (Buyback of Securities) Regulations, 2018; **(Not applicable to the Company during the Audit Period)**



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

(vi) I further report that, having regards to compliance system prevailing in the Company and on examination of the Relevant documents and records in pursuance thereof, the Company has complied with the following laws applicable specifically to the Company:

- Reserve Bank of India Act, 1934 and various (RBI) directions, Guidelines and Circulars as are applicable to Non-Deposit taking Non-Banking Financial Companies.

I have also examined compliance with the applicable clauses of the following:

- The company has generally complied with the provisions of Section 118(10) of the Companies Act, 2013 relating to Secretarial Standards issued by The Institute of Company Secretaries of India.
- The Securities and Exchange Board of India (Listing Obligations and Disclosures Requirement) Regulations, 2015. ***(Listing Agreement entered into by the Company with Calcutta Stock Exchange)***

During the period under review the Company has complied with the provisions of the Act, Rules, Regulations, Guidelines, Secretarial Standards, Listing Agreements etc. mentioned above.



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

I further report that

The Board of Directors of the Company is duly constituted with proper balance of Executive Directors, Non-Executive Directors and Independent Directors. The composition of the Board of Directors during the period under review was in compliance with the provisions of the Act.

Adequate notice was given to all directors to schedule the Board Meetings, agenda and detailed notes on agenda were sent at least seven days in advance, and a system exists for seeking and obtaining further information and clarifications on the agenda items before the meeting and for meaningful participation at the meeting.

All decisions at Board Meetings and Committee Meetings were carried out unanimously. Majority decision is carried through while the dissenting members' views are captured and recorded as part of the minutes.

I further report that there are adequate systems and processes in the Company to commensurate with the size and operations of the company to monitor and ensure compliance with applicable laws, rules, regulations and guidelines.



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

I further report that during the audit period of the Company there was no specific events or actions took place that have a major bearing on the Company's affairs in pursuance of the above referred laws, rules, regulations, guidelines, standards etc., referred to above.

Place: Kolkata
Date: 22/05/2024

For SWEETY SHARMA

PROPRIETOR
PRACTICING COMPANY SECRETARY
Membership No. ACS 35080
Certificate of practice No. 13098
Peer Review Certificate no. 5327/2023
UDIN: A035080F000421268

Note: *This report is to be read with the letter of even date which is Annexure A and forms an integral part of this report.*



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

'ANNEXURE A'

To,
The Members,
Baid Mercantiles Ltd
58 Elliot Road, 2nd Floor
Kolkata – 700016

My report of even date is to be read along with this letter.

1. Maintenance of secretarial record is the responsibility of the management of the Company. My responsibility is to express an opinion on these secretarial records based on my audit.
2. I have followed the audit practices and processes as were appropriate to obtain reasonable assurance about the correctness of the contents of the Secretarial records. The verification was done on test basis to ensure that contents facts are reflected in secretarial records. I believe that the processes and practices, followed by me provide a reasonable basis of my opinion.
3. I have verified the correctness and appropriateness of financial records and Books of Accounts of the Company.
4. Where ever required, I have obtained the Management representation about the compliance of laws, rules, and regulations and happenings of events etc.



SWEETY SHARMA

PRACTICING COMPANY SECRETARY

Ref No.

Date.....

5. The compliance of the provision of Corporate and other applicable laws, rules, regulations, standards is the responsibility of management. My examination was limited to the verification of procedures on test basis.
6. The Secretarial Audit report is neither an assurance as to the future viability of the Company nor of the efficacy or effectiveness with which the management has conducted the affairs of the Company.

Place: Kolkata
Date: 22/05/2024

For SWEETY SHARMA

PROPRIETOR
PRACTICING COMPANY SECRETARY
Membership No. ACS 35080
Certificate of practice No. 13098
Peer Review Certificate no. 5327/2023
UDIN: A035080F000421268

Independent Auditor's Report

To The Members of Baid Mercantiles Limited

Report on the Audit of the Financial Statements

Opinion

We have audited the accompanying Financial Statements of **Baid Mercantiles Limited** ("the Company"), which comprise the Balance Sheet as at 31st March, 2024, the Statement of Profit and Loss (including Other Comprehensive Income), the Statement of Changes in Equity and the Statement of Cash Flows for the year then ended, and notes to the financial statements, including a summary of the significant accounting policies and other explanatory information (herein after referred to as "financial statements").

In our opinion and to the best of our information and according to the explanations given to us, the aforesaid financial statements give the information required by the Companies Act, 2013 ("the Act") in the manner so required and give a true and fair view in conformity with the accounting principles generally accepted in India, of the state of affairs of the Company as at 31st March, 2024, and its profit (including other comprehensive income), changes in equity and its cash flows for the year ended on that date.

Basis for Opinion

We conducted our audit in accordance with the Standards on Auditing (SAs) specified under section 143(10) of the Act. Our responsibilities under those Standards are further described in the *Auditor's Responsibilities for the Audit of the Financial Statements* section of our report. We are independent of the Company in accordance with the Code of Ethics issued by the Institute of Chartered Accountants of India together with the ethical requirements that are relevant to our audit of the financial statements under the provisions of the Act and the Rules made thereunder, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the Code of Ethics. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matter

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

We have determined that there is no key audit matter to communicate in our report.

Information Other than the Financial Statements and Auditor's Report Thereon

The Company's Board of Directors is responsible for the preparation of the other information. The other information comprises the information included in the Board's Report including Annexures to Board's Report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the course of our audit or otherwise appears to be materially misstated.

If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Management and Those Charged with Governance for the Financial Statements

The Company's Board of Directors is responsible for the matters stated in section 134(5) of the Act with respect to preparation of these financial statements that give a true and fair view of the financial position, financial performance including other comprehensive income, changes in equity and cash flows of the Company in accordance with the accounting principles generally accepted in India, including the Indian Accounting Standards specified under Section 133 of the Act, read with relevant rules issued there under.

This responsibility also includes maintenance of adequate accounting records in accordance with the provisions of the Act for safeguarding the assets of the Company and for preventing and detecting frauds and other irregularities; selection and application of appropriate accounting policies; making judgments and estimates that are reasonable and prudent; and design, implementation and maintenance of adequate internal financial controls, that were operating effectively for ensuring the accuracy and completeness of the accounting records, relevant to the preparation and presentation of the financial statements that give a true and fair view and are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so. The Board of Directors are also responsible for overseeing the Company's financial reporting process.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with SAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with SAs, we exercise professional judgment and maintain professional scepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances. Under section 143(3)(i) of the Act, we are also responsible for expressing our opinion on whether the company has an adequate internal financial controls system in place and the operating effectiveness of such controls.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, we determine that there is no key audit matter to communicate in our report.

Other Matter

The comparative financial information of the Company for the corresponding year ended 31st March, 2022 were audited by predecessor auditor, Ranjit Jain & Co.. (Firm Registration No. 322505E) who expressed unmodified opinion vide their report dated 29th May, 2022 and reliance has been placed by us on the same for the purpose of this report.

Our opinion is not modified in respect of above matter.

Report on other legal and regulatory requirements

1. As required by the Companies (Auditor's Report) Order, 2020 ("the Order") issued by the Central Government of India in terms of sub-section (11) of section 143 of the Act, we give in the "Annexure A", a statement on the matters specified in paragraphs 3 and 4 of the Order.
2. As required by Section 143(3) of the Act, we report that:

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

- i. We have sought and obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit.
- ii. In our opinion, proper books of account as required by law have been kept by the Company so far as it appears from our examination of those books.
- iii. The Balance Sheet, the Statement of Profit and Loss including Other Comprehensive Income, Statement of Changes in Equity and the Statement of Cash flows dealt with by this report are in agreement with the relevant books of account.
- iv. In our opinion, the aforesaid financial statements comply with the Indian Accounting Standards specified under Section 133 of the Act, read with Rule 7 of the Companies (Accounts) Rules, 2014.
- v. On the basis of the written representations received from the directors as at 31st March, 2024 and taken on record by the Board of Directors, none of the directors is disqualified as at 31st March, 2024 from being appointed as a director in terms of Section 164 (2) of the Act.
- vi. With respect to the adequacy of the internal financial controls over financial reporting of the Company and the operating effectiveness of such controls, refer to our separate Report in "Annexure B". Our report expresses an unmodified opinion on the adequacy and operating effectiveness of the Company's internal financial controls over financial reporting.
- vii. With respect to the other matters to be included in the Auditor's Report in accordance with Rule 11 of the Companies (Audit and Auditors) Rules, 2014, in our opinion and to the best of our information and according to the explanations given to us:
 - a. The Company does not have any pending litigations which would impact its financial position.
 - b. The Company did not have any long-term contracts including derivatives contracts for which there were any material foreseeable losses.
 - c. There were no amounts required to be transferred to the Investor Education and Protection Fund by the Company.
 - d. (i) The Management has represented that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been advanced or loaned or invested (either from borrowed funds or share premium or any other sources or kind of funds) by the Company to or in any other person or entity, including foreign entity ("Intermediaries"), with the understanding, whether recorded in writing or otherwise, that the Intermediary shall, whether, directly or indirectly lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Company ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

(ii) The Management has represented, that, to the best of its knowledge and belief, no funds (which are material either individually or in the aggregate) have been received by the Company from any person or entity, including foreign entity ("Funding Parties"), with the understanding, whether recorded in writing or otherwise, that the Company shall, whether, directly or indirectly, lend or invest in other persons or entities identified in any manner whatsoever by or on behalf of the Funding Party ("Ultimate Beneficiaries") or provide any guarantee, security or the like on behalf of the Ultimate Beneficiaries;

(iii) Based on the audit procedures that have been considered reasonable and appropriate in the circumstances, nothing has come to our notice that has caused us to believe that the representations under sub-clause (i) and (ii) of Rule 11(e), as provided under (i) and (ii) above, contain any material misstatement.

- e. The Company has not declared or paid any dividend during the year.
- f. Based on our examination, which included test checks, and as per information and explanation provided to us, the Company has used accounting software for maintaining its books of account for the financial year ended 31st March, 2024 which has a feature of recording audit trail (edit log) facility and the same has been enabled and operated throughout the year for all relevant transactions recorded in the software.

Further, as per information and explanation provided to us, during the course of our audit we did not come across any instance of the audit trail feature being tampered with.

As proviso to Rule 3(1) of the Companies (Accounts) Rules, 2014 is applicable from 1st April, 2023, reporting under Rule 11(g) of the Companies (Audit and Auditors) Rules, 2014 on preservation of audit trail as per the statutory requirements for record retention is not applicable for the financial year ended 31st March, 2024.

3. With respect to the other matters to be included in the Auditor's Report in accordance with the requirements of section 197(16) of the Act, as amended:

In our opinion and to the best of our information and according to the explanations given to us, the remuneration paid by the company to its directors during the year is in accordance with the provisions of section 197 of the Act.

For G. P. Agrawal & Co.
Chartered Accountants
Firm Registration No. -302082E

(CA. Sunita Kedia)
Partner
Membership No. 060162
UDIN: 24060162BKAJUX1909
Place of Signature: Kolkata
Dated: The 30th day of May, 2024

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

"ANNEXURE A" TO THE AUDITOR'S REPORT

Statement referred to in paragraph 1 of 'Report on Other Legal and Regulatory Requirements' in our report of even date to the members of **Baid Mercantiles Limited** on the financial statements for the year ended 31st March, 2024.

(i)	a)	The Company does not have any Property, Plant and Equipment and Intangible Assets. Therefore, the provisions of clause (i) (a) to (d) of paragraph 3 of the said order are not applicable to the Company.
	b)	According to the information and explanations given to us and as represented by management, no proceedings have been initiated during the year or are pending against the Company as at 31 st March, 2024 for holding any benami property under the Benami Transactions (Prohibition) Act, 1988 (as amended in 2016) and rules made thereunder. Therefore, the provisions of clause (i) (e) of paragraph 3 of the said order are not applicable to the Company.
(ii)	a)	The Company does not have any physical inventory. Therefore, the provisions of clause (ii) (a) of paragraph 3 of the said order are not applicable to the Company.
	b)	The Company has not been sanctioned any working capital limit, from banks or financial institutions on the basis of security of current assets. Therefore, the provisions of clause (ii) (b) of paragraph 3 of the said order are not applicable to the Company.
(iii)		According to the information and explanations given to us and on the basis of our examination of the records, the Company has not made investments in, provided any guarantee or security or granted any loans or advances in the nature of loans, secured or unsecured, to companies, firms, Limited Liability Partnerships or any other parties. Therefore, reporting under clause (iii) (a) to (f) of paragraph 3 of the said order is not applicable to the Company.
(iv)		In our opinion and according to the information and explanations given to us and as per records examined by us, the Company has not provided any guarantee or security or granted any loans in respect of which provisions of Sections 185 and 186 of the Act are applicable. Further, the Company has not made any investments in contravention of provisions of Section 185 of the Act. The Company has complied with the provisions of Section 186(1) of the Act in respect of investments made, as applicable; the other provisions of Section 186 of the Act are not applicable to the Company.
(v)		The Company has not accepted any deposit in terms of the directives issued by the Reserve Bank of India and within the meaning of sections 73 to 76, or any other relevant provisions of the Act and the rules framed there under. Therefore, the provisions of clause (v) of paragraph 3 of the said order are not applicable to the Company.
(vi)		As per the information and explanations given to us by the management, maintenance of cost records prescribed by the Central Government under sub-section (1) of section 148 of the Act is not applicable to the Company. Thus, reporting under clause 3 (vi) of paragraph 3 of the said order is not applicable to the Company.

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

"ANNEXURE A" TO THE AUDITOR'S REPORT (CONTD.)		
(vii)	(a)	According to the records of the Company, undisputed statutory dues including Goods and Services Tax, provident fund, employees' state insurance, income tax, duty of customs, duty of excise, value added tax, cess or any other statutory dues, to the extent applicable, have been regularly deposited with appropriate authorities. According to the information and explanations given to us and as per records examined by us, there were no undisputed outstanding statutory dues as at 31st March, 2024 for a period of more than six months from the date of becoming payable.
	(b)	According to the information and explanation given to us and based on the audit procedures conducted by us, there are no disputed statutory due outstanding as on the balance sheet date. Thus, clause 3 (vii)(b) of Paragraph 3 of the said order is not applicable to the Company.
(viii)		There were no transactions relating to previously unrecorded income that have been surrendered or disclosed as income during the year in the tax assessments under the Income Tax Act, 1961 (43 of 1961).
(ix)		According to the information and explanation given to us and as per records examined by us, the Company has not taken any loans or borrowing from any lender. Therefore, clause (ix) (a) to (e) of paragraph 3 of the said order is not applicable to the Company.
(x)	a)	The Company has not raised moneys by way of initial public offer or further public offer (including debt instruments) during the year. Therefore, clause (x) (a) of paragraph 3 of the said order is not applicable to the Company.
	b)	The Company has not made any preferential allotment or private placement of shares or convertible debentures (fully or partly or optionally) during the year and no funds have been raised by the Company. Therefore, clause (x) (b) of paragraph 3 of the said order is not applicable to the Company.
(xi)	a)	No fraud by the Company and on the Company has been noticed or reported during the year.
	b)	No report under sub-section (12) of section 143 of the Act has been filed in Form ADT-4 as prescribed under rule 13 of Companies (Audit and Auditors) Rules, 2014 with the Central Government, during the year and up to the date of this report.
	c)	The Company has not received any whistle-blower complaint during the year.
(xii)		The Company is not a Nidhi company. Therefore, clause (xii) of paragraph 3 of the said order is not applicable to the Company.
(xiii)		According to the information and explanations given to us and based on our examination of the records of the Company, transactions with the related parties are in compliance with sections 177 and 188 of the Act where applicable and details of such transactions have been disclosed in the financial statements as required by the applicable Indian accounting standards.

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

"ANNEXURE A" TO THE AUDITOR'S REPORT (CONTD.)		
(xiv)	a)	The company has an internal audit system commensurate with the size and nature of its business.
	b)	We have considered the internal audit reports for the year under audit, issued to the Company during the year and till date, in determining the nature, timing and extent of our audit procedures.
(xv)		According to the information and explanations given to us and based on our examination of the records of the Company, the Company has not has entered into any non-cash transactions with directors or persons connected with them during the year under the provisions of section 192 of the Act. Therefore, clause (xv) of paragraph 3 of the said Order is not applicable to the Company.
(xvi)	a)	According to the information and explanations given to us, the provisions of Section 45-IA of the Reserve Bank of India Act, 1934 are applicable to the Company and the Company is duly registered under section 45-1A of the Reserve Bank of India Act, 1934 bearing No. B-05.04664 dated 22 nd November, 2001.
	b)	The Company has not conducted any Non-Banking Financial or Housing Finance activities before obtaining the Certificate of Registration (CoR) from the RBI. Therefore, clause (xvi)(b) of paragraph 3 of the said Order is not applicable to the Company
	c)	The company is not Core Investment Company (CIC) as defined in the RBI regulations.
	d)	On the basis of our examination of records and according to the information and explanations given to us, the Group has no CIC as part of the Group (as defined in the Core Investment Companies (Reserve Bank) Directions, 2016). Therefore, clause (xvi)(d) of paragraph 3 of the said Order is not applicable to the Company.
(xvii)		According to the information and explanation given to us and as per records examined by us, the Company has not incurred cash losses during the financial year. The Company has incurred cash losses of Rs. 9.43 lacs during the immediately preceding financial year.
(xviii)		There has been resignation of the statutory auditors during the year and we have taken into consideration the issues, objections or concerns raised by the outgoing auditors.
(xix)		On the basis of the financial ratios, ageing and expected dates of realization of financial assets and payment of financial liabilities, other information accompanying the financial statements and our knowledge of the Board of Directors and Management plans and based on our examination of the evidence supporting the assumptions, nothing has come to our attention, which causes us to believe that any material uncertainty exists as on the date of the audit report that company is not capable of meeting its liabilities existing at the date of balance sheet as and when they fall due within a period of one year from the balance sheet date. We, however, state that this is not an assurance as to the future viability of the Company. We further state that our reporting is based on the facts up to the date of the audit report and we neither give any guarantee nor any assurance that all liabilities falling due within a period of one year from the balance sheet date, will get discharged by the Company as and when they fall due.

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

"ANNEXURE A" TO THE AUDITOR'S REPORT (CONTD.)		
(xx)		According to the information and explanations given to us and on the basis of the financial records, the Company does not meet the applicability threshold of Corporate Social Responsibility (CSR) as per Section 135 of the Act. Therefore, provisions of paragraph 3 (xx) (a) and (b) of the said order are not applicable for the year.
(xxi)		The company is not required to prepare consolidated financial statements. Therefore, the provisions of paragraph 3 (xxi) of the Order is not applicable to the company.

For G. P. Agrawal & Co.
Chartered Accountants
Firm Registration No. -302082E

(CA. Sunita Kedia)
Partner
Membership No. 060162
UDIN: 24060162BKAJUX1909
Place of Signature: Kolkata
Dated: The 30th day of May, 2024

**"ANNEXURE B" TO THE INDEPENDENT AUDITOR'S REPORT OF EVEN DATE ON THE FINANCIAL STATEMENTS
OF BAID MERCANTILES LIMITED**

**Report on the Internal Financial Controls under Clause (i) of Sub-section 3 of Section 143 of the Companies Act,
2013 ("the Act")**

We have audited the internal financial controls over financial reporting of Baid Mercantiles Limited ("the Company") as of 31st March, 2024 in conjunction with our audit of the financial statements of the Company for the year ended on that date.

Management's Responsibility for Internal Financial Controls

The Company's management is responsible for establishing and maintaining internal financial controls based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the Institute of Chartered Accountants of India ("ICAI"). These responsibilities include the design, implementation and maintenance of adequate internal financial controls that were operating effectively for ensuring the orderly and efficient conduct of its business, including adherence to Company's policies, the safeguarding of its assets, the prevention and detection of frauds and errors, the accuracy and completeness of the accounting records, and the timely preparation of reliable financial information, as required under the Act.

Auditors' Responsibility

Our responsibility is to express an opinion on the Company's internal financial controls over financial reporting based on our audit. We conducted our audit in accordance with the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting (the "Guidance Note") and the Standards on Auditing, to the extent applicable to an audit of internal financial controls, both issued by the ICAI. Those Standards and the Guidance Note require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether adequate internal financial controls over financial reporting were established and maintained and if such controls operated effectively in all material respects.

Our audit involves performing procedures to obtain audit evidence about the adequacy of the internal financial controls system over financial reporting and their operating effectiveness. Our audit of internal financial controls over financial reporting included obtaining an understanding of internal financial controls over financial reporting, assessing the risk that a material weakness exists, and testing and evaluating the design and operating effectiveness of internal control based on the assessed risk. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion on the Company's internal financial controls system over financial reporting.

Meaning of Internal Financial Controls Over Financial Reporting

A company's internal financial control over financial reporting is a process designed to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with generally accepted accounting principles. A company's internal financial control over financial reporting includes those policies and procedures that

Independent Auditor's Report (Contd.)
To The Members of **Baid Mercantiles Limited**

"Annexure B" to the Independent Auditor's Report (Contd.)

(1) pertain to the maintenance of records that, in reasonable detail, accurately and fairly reflect the transactions and dispositions of the assets of the Company;

(2) provide reasonable assurance that transactions are recorded as necessary to permit preparation of financial statements in accordance with generally accepted accounting principles, and that receipts and expenditures of the Company are being made only in accordance with authorisations of management and directors of the Company; and

(3) provide reasonable assurance regarding prevention or timely detection of unauthorised acquisition, use, or disposition of the Company's assets that could have a material effect on the financial statements.

Inherent Limitations of Internal Financial Controls Over Financial Reporting

Because of the inherent limitations of internal financial controls over financial reporting, including the possibility of collusion or improper management override of controls, material misstatements due to error or fraud may occur and not be detected. Also, projections of any evaluation of the internal financial controls over financial reporting to future periods are subject to the risk that the internal financial control over financial reporting may become inadequate because of changes in conditions, or that the degree of compliance with the policies or procedures may deteriorate.

Opinion

In our opinion, the Company has, in all material respects, an adequate internal financial controls system over financial reporting and such internal financial controls over financial reporting were operating effectively as at 31st March, 2024, based on the internal control over financial reporting criteria established by the Company considering the essential components of internal control stated in the Guidance Note on Audit of Internal Financial Controls Over Financial Reporting issued by the ICAI.

For G. P. Agrawal & Co.

Chartered Accountants
Firm Registration No. -302082E

(CA. Sunita Kedia)

Partner
Membership No. 060162
UDIN: 24060162BKAJUX1909
Place of Signature: Kolkata
Dated: The 30th day of May, 2024

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Balance Sheet as at 31st March, 2024

(₹ in Lacs)

		Note No.	As at 31.03.2024	As at 31.03.2023
	ASSETS			
1	FINANCIAL ASSETS			
a	Cash and Cash Equivalents	3	5.50	3.78
b	Receivables:			
	Trade Receivables	4	1.35	1.35
c	Investments in Financial Instrument	5	942.72	846.11
d	Other Financial Assets	6	1.44	1.16
2	NON FINANCIAL ASSETS			
a	Current Tax Assets (Net)	7	1.80	-
b	Other Investments	8	6.75	6.75
	Total Assets		959.56	859.15
	LIABILITIES AND EQUITY			
I	FINANCIAL LIABILITIES			
a	Other Financial Liabilities	9	2.43	2.30
II	NON FINANCIAL LIABILITIES			
a	Current Tax Liabilities (Net)	10	-	0.79
b	Deferred Tax Liabilities (Net)	11	54.73	28.79
c	Other Non-Financial Liabilities	12	0.10	0.06
II	EQUITY			
a	Equity Share Capital	13	509.95	509.95
b	Other Equity	14	392.35	317.25
	Total Liabilities and Equity		959.56	859.15

Corporate information

1

Material Accounting Policies

2

Other disclosures and Additional regulatory information

23-35

The accompanying notes are an integral part of the Financial Statements

As per our report of even date annexed

For G.P. Agrawal & Co.

For and on behalf of the Board of Directors

Chartered Accountants

Firm Registration No. 302082E

(CA. Sunita Kedia)

Partner

Membership No. 060162

Binod Kumar Khandelwal

(DIN 00710467)

Managing Director

Jayesh Maitra Majumder

(DIN 02664850)

Director

Place: Kolkata

Dated: 30th May, 2024

Jyoti Shaw

(Company Secretary)

(Membership No. A59514)

Sabita Khandelwal

(CFO & Director)

(DIN 07290866)

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Statement of Profit and Loss for the year ended 31st March, 2024**(₹ in Lacs)**

	Particulars	Note No.	For the year ended 31.03.2024	For the year ended 31.03.2023
I	Revenue from Operations			
	Net gain on fair value changes	15	277.89	-
II	Other Income	16	18.06	18.07
	Total Income - I		295.95	18.07
III	EXPENSES			
	Changes in Inventories of Stock-In-Trade (Securities held for trading)	17	-	-
	Employee Benefits Expenses	18	22.79	21.33
	Other Expenses	19	3.45	3.57
	Total Expenses		26.24	24.90
IV	Profit/(Loss) before Exceptional Items and Tax (I - II)		269.71	(6.83)
V	Exceptional Items		-	-
VI	Profit/(Loss) before Tax (III - IV)		269.71	(6.83)
VII	Tax Expense:			
	Current Tax	20	(2.59)	2.60
	Deferred Tax		54.73	-
	Total tax expense		52.14	2.60
VIII	Profit for the year (VI-VII)		217.57	(9.43)
IX	Other Comprehensive Income			
a.i	Items that will not be reclassified to profit or loss	21	75.36	42.32
a.ii	Income tax relating to items that will not be reclassified to profit or loss		(18.32)	(12.66)
	Other Comprehensive Income for the year (Net of Tax)		57.04	29.66
X	Total Comprehensive Income for the year (VIII + IX)		274.61	20.23
XI	Earnings Per Share	22		
i	Basic (Equity Share Face Value ₹ 10/- each)		4.27	(0.19)
ii	Diluted (Equity Share Face Value ₹ 10/- each)		4.27	(0.19)

Corporate information

1

Material Accounting Policies

2

Other disclosures and Additional regulatory information

23-35

The accompanying notes are an integral part of the Financial Statements

As per our attached report of even date

For G.P. Agrawal & Co.

Chartered Accountants

Firm Registration No. 302082E

For and on behalf of the Board of Directors

(CA. Sunita Kedia)

Partner

Membership No. 060162

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(DIN 07290866)

BAID MERCANTILES LIMITED
CIN: L70109WB1988PLC044591
Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016
Statement of Change in Equity for the year ended 31st March, 2024

A. <u>Equity Share Capital</u>	(₹ in Lacs)
(1) For the year ended 31st March, 2024	
Balance at the beginning of the reporting period i.e. 1st April 2023	509.95
Changes in Equity Share Capital during the year	-
Balance at the end of the reporting period i.e. 31st March 2024	509.95
(2) For the year ended 31st March, 2023	
Balance at the beginning of the previous reporting period i.e. 1st April 2022	509.95
Changes in Equity Share Capital during the year	-
Balance at the end of the previous reporting period i.e. 31st March 2023	509.95

B. Other Equity

(1) As at 31st March, 2024 (₹ in Lacs)

	Reserve and Surplus			Other Comprehensive Income (OCI)	Total
	Reserve Fund	General Reserve	Retained Earnings	Equity Instrument through OCI	
Balance at the beginning of the reporting period i.e. 1st April 2023	45.35	117.17	2.02	152.71	317.25
Profit for the Year	-	-	217.57	-	217.57
Other comprehensive income (net of tax)	-	-	-	57.04	57.04
Total comprehensive income	-	-	217.57	57.04	274.61
Transfer to/ (from) Reserve fund/ Retained Earnings	43.51	-	(43.51)	-	-
Transfer to/ (from) Retained earnings/ OCI	-	-	10.24	(10.24)	-
Amount reclassified to Statement of Profit and Loss (Refer note 5)	-	-	-	(199.51)	(199.51)
Balance at the end of the reporting period i.e. 31st March 2024	88.86	117.17	186.32	0.00	392.35

(2) As at 31st March, 2023 (₹ in Lacs)

	Reserve and Surplus			Other Comprehensive Income (OCI)	Total
	Reserve Fund	General Reserve	Retained Earnings	Equity Instrument through OCI	
Balance at the beginning of the reporting period i.e. 1st April 2022	45.35	117.17	11.46	123.05	297.02
Profit/(Loss) for the Year	-	-	(9.43)	-	(9.43)
Other comprehensive income (net of tax)	-	-	-	29.66	29.66
Total comprehensive income	-	-	(9.43)	29.66	20.23
Balance at the end of the reporting period i.e. 31st March 2023	45.35	117.17	2.02	152.71	317.25

Description of purposes of each reserve have been disclosed in Note No. 14

Corporate information	1
Material Accounting Policies	2
Other disclosures and Additional regulatory information	23-35

The accompanying notes are an integral part of the Financial Statements

As per our Report annexed of even date

For G.P. Agrawal & Co.
Chartered Accountants
Firm Registration No. 302082E

For and on behalf of the Board of Directors

(CA. Sunita Kedia)
Partner
Membership No. 060162

Binod Kumar Khandelwal
(DIN 00710467)
Managing Director

Jayesh Maitra Majumder
(DIN 02664850)
Director

Place: Kolkata
Dated: 30th May, 2024

Jyoti Shaw
(Company Secretary)
(Membership No. A59514)

Sabita Khandelwal
(CFO & Director)
(DIN 07290866)

BAID MERCANTILES LIMITED

CIN: L70109WB1988PLC044591

Address: 58 Elliot Road, 2nd Floor, Kolkata - 700 016

Statement of Cash Flows for the year ended 31st March, 2024

(₹ in Lacs)

	Particulars	For the year ended 31.03.2024	For the year ended 31.03.2023
A.	<u>CASH FLOW FROM OPERATING ACTIVITIES</u>		
	Net Profit Before Tax	269.71	(6.83)
	Adjustment for :		
	Net gain on financial instruments at fair value through profit or loss	(277.89)	-
	Operating Profit before Working Capital Adjustment	(8.18)	(6.83)
	Changes in Working Capital		
	(Increase)/Decrease in Other Financial Assets	(0.28)	-
	(Increase)/Decrease in Current Tax Asset	-	1.80
	Increase/(Decrease) in Current Tax Liabilities	-	0.79
	Increase/(Decrease) in Other Financial Liabilities	0.13	-
	Increase/(Decrease) in Other Non-Financial Liabilities	0.04	(0.05)
	Cash Generated from Operation	(8.29)	(4.29)
	Less: Payment of Taxes	(0.01)	2.60
	Net cash flow from operating activities (A)	(8.28)	(6.89)
B.	<u>CASH FLOW FROM INVESTING ACTIVITIES</u>		
	Purchase of Investments	-	(106.00)
	Proceeds from sale of Investments	10.00	115.55
	Net cash flow from Investing Activities (B)	10.00	9.55
C.	<u>CASH FLOW FROM FINANCING ACTIVITIES</u>		
	Increase/(Decrease) in Borrowings	-	-
	Net cash flow from financing activities (C)	-	-
	Net increase/(Decrease) in cash and cash equivalent	1.72	2.66
	Opening Cash and Cash Equivalent	3.78	1.12
	Closing Cash and Cash Equivalent	5.50	3.78
	<u>CLOSING CASH & CASH EQUIVALENT</u>		
	Cash in hand	0.35	0.35
	Balances with Banks -- In Current Accounts	5.15	3.43
		5.50	3.78

The accompanying notes are an integral part of the Financial Statements.

As per our attached report of even date

For G.P. Agrawal & Co.
Chartered Accountants
Firm Registration No. 302082E

(CA. Sunita Kedia)
Partner
Membership No. 060162

Place: Kolkata
Dated: 30th May, 2024

For and on behalf of the Board of Directors

Binod Kumar Khandelwal
(DIN 00710467)
Managing Director

Jayesh Maitra Majumder
(DIN 02664850)
Director

Jyoti Shaw
(Company Secretary)
(Membership No. A59514)

Sabita Khandelwal
(CFO & Director)
(DIN 07290866)

Notes forming part of the financial statements

Note No. : 1 Corporate Information

Baid Mercantiles Limited ("the Company") is a public limited company incorporated and domiciled in India vide Corporate Identity No.L70109WB1988PLC044591 and having its registered office at 58, Elliot Road 2nd Floor, Kolkata 700016. The Company is a Non-Banking Finance Company registered with RBI and is engaged in Loan Financing and Investment Shares and Securities. Pursuant to the Scale Based Classification of NBFCs, introduced by RBI, the Company is categorised as a Base Layer NBFC.

The Company's shares are listed on the Calcutta Stock Exchange Ltd.

The financial statements for the year ended 31st March, 2024 were approved by the Board of Directors of the Company on 30th May, 2024 and authorised for issue to the shareholders for their adoption in the ensuing Annual General Meeting.

Note No. : 2 Material Accounting Policies

2.1 Statement in compliance with Indian Accounting Standards "Ind-AS":

These financial statements have been prepared in accordance with Indian Accounting Standards (Ind AS) specified under Section 133 of the Companies Act, 2013 ('the Act') read with Companies (Indian Accounting Standards) Rules, 2015 (as amended) and along with other relevant provisions of the Act and Master Direction – Reserve Bank of India (Non-Banking Financial Company – Scale Based Regulation) Directions, 2023, as prescribed for Base layer Companies. The financial statements have also been prepared in accordance with the relevant presentation requirements of the Act.

2.2 Basis of preparation of financial statement:

The financial statements are prepared in accordance with the historical cost convention, except for certain items that are measured at fair values, as explained in the accounting policies. The financial statements are prepared on a going concern basis, as the Management is satisfied that the Company shall be able to continue its business for the foreseeable future and no material uncertainty exists that may cast significant doubt on the going concern assumption. In making this assessment, the Management has considered a wide range of information relating to present and future conditions, including future projections of profitability, cash flows and capital resources.

Accounting policies have been consistently applied except where a newly issued Indian Accounting Standard is initially adopted

or a revision to an existing Indian Accounting Standard requires a change in the accounting policy hitherto in use.

The financial statements are presented in INR, which is also the Company's functional currency and all values are rounded to the nearest thousand except when otherwise indicated.

The Company prepares and present its Balance Sheet, the Statement of Profit and Loss and the Statement of Changes in Equity in the format prescribed by Division III of Schedule III to the Act. The Statement of Cash Flows has been prepared and presented as per the requirements of Ind AS 7 'Statement of Cash Flows'.

All assets and liabilities have been classified as current or non-current as per the Company's normal operating cycle and other criteria set out in the Schedule III to the Act and Ind AS 1. For the company, there is generally no clearly identifiable normal operating cycle and hence the normal operating for the company is assumed to have duration of 12 months.

2.3 Use of estimates

The preparation of financial statements requires the use of certain critical accounting estimates and assumptions that affect the reported amounts of assets, liabilities, revenues and expenses and disclosed amount of contingent liabilities. Estimates and assumptions used in the preparation of the financial statements and disclosures are based upon management's evaluation of the relevant facts and circumstances as of the date of the financial statements, Actual results could differ from those estimates and the differences between the actual results and the estimates would be recognised in the periods in which the results are known / materialised.

Areas involving a higher degree of judgement or complexity or areas where assumptions are significant to the Company are discussed in Note 3.1 on Critical accounting judgements and key sources of estimation uncertainty.

Notes forming part of the financial statements

2.4 Revenue recognition

Revenue is measured based on the consideration specified in a contract with a customer and excludes amounts collected on behalf of third parties. The Company recognizes revenue when it transfers control over a product or service to customers in accordance with Ind AS 115.

The Company recognises income on accrual basis to the extent that it is probable that the economic benefits will flow to the Company and the revenue can be reliably measured. However, where the ultimate collection of revenue lacks reasonable certainty, revenue recognition is postponed.

The Company is engaged in the business of non banking financial services and revenue from operations is recognized in the Statement of Profit and Loss on an accrual basis as stated herein below:

(i) Sale of Shares & Securities

Income from Sale of Shares is recognised on the date of transaction.

(ii) Interest income

Interest income from is recognised using the effective interest rate method. The effective interest rate is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the gross carrying amount of a financial asset. When calculating the effective interest rate, the Company estimates the expected cash flows by considering all the contractual terms of the financial instrument but does not consider the expected credit losses.

(iii) Dividends

Dividend income is recognised in the Statement of Profit and Loss when the right to receive dividend is established and it is probable that the economic benefits associated with the dividend will flow to the Company and that the amount of the dividend can be measured reliably.

(iv) Other income

The Company recognises other income on accrual basis as it becomes due.

2.5 Financial instruments

Financial assets and financial liabilities (financial instruments) are recognised when the Company becomes a party to the contractual provisions of the instruments. All regular way purchases or sales of financial assets are recognised and derecognised on the trade date basis.

(i) Classification

The financial assets and financial liabilities are classified as current if they are expected to be realised or settled within operating cycle of the company or otherwise these are classified as non-current. The Company classifies its financial assets in the following measurement categories:

> those to be measured subsequently at fair value (either through other comprehensive income (FVTOCI), or through profit or loss (FVTPL), and

> those measured at amortised cost.

The classification is done depending upon the Company's business model for managing the financial assets and the contractual terms of the cash flows.

For assets classified as 'measured at fair value', gains and losses will either be recorded in profit or loss or other comprehensive income, as elected. For assets classified as 'measured at amortised cost', this will depend on the business model and contractual terms of the cash flows.

Notes forming part of the financial statements

(ii) Measurement

Initial Measurement:

Financial assets and financial liabilities are initially measured at fair value. Transaction costs that are directly attributable to the acquisition or issue of financial assets and financial liabilities (other than financial assets and financial liabilities at fair value through profit or loss) are added to or deducted from the fair value of the financial assets or financial liabilities, as appropriate, on initial recognition. Transaction costs directly attributable to the acquisition of financial assets or financial liabilities at fair value through profit or loss are recognised immediately in the Statement of Profit and Loss.

Subsequent Measurement:

Subsequent measurement of financial assets and financial liabilities depends on the Company's business model for managing the financial asset and financial liabilities and their cash flow characteristics. There are three measurement categories into which the Company classifies its financial instruments:

Subsequently measured at amortised cost:

Financial assets and financial liabilities that are held for collection/payment of contractual cash flows where those cash flows represent solely payments of principal and interest or convertible into equity on a future date are measured at amortised cost e.g. Debentures, Preference Shares, Bonds etc. A gain or loss on a financial asset and financial liabilities that is subsequently measured at amortised cost is recognised in the Statement of Profit and Loss when the asset/liabilities is derecognised or impaired. Interest income or expense from these financial assets and financial liabilities recognised using the effective interest rate method.

Subsequently measured at fair value through profit or loss:

Financial assets and financial liabilities that do not meet the criteria for amortised cost, are measured at fair value through profit or loss e.g. investments in mutual funds. A gain or loss on a financial asset and financial liabilities that is subsequently measured at fair value through profit or loss is recognised in profit or loss and presented net in the Statement of Profit and Loss within other gains/(losses) in the period in which it arises.

Equity instruments subsequently measured at fair value through other comprehensive income.

The Company subsequently measures all equity investments at fair value through profit or loss, unless the Company's Management has elected to classify irrevocably some of its equity investments as equity instruments at FVTOCI, when such instruments meet the definition of definition of Equity under Ind AS 32.

Financial Instruments: Presentation. Such classification is determined on an instrument-by-instrument basis.

Gains and losses on these equity instruments are never recycled to Statement of Profit and Loss. Dividends are recognised in Statement of Profit and Loss as dividend income when the right of the payment has been established, except when the Company benefits from such proceeds as a recovery of part of the cost of the instrument, in which case, such gains are recorded in OCI. Equity instruments at FVTOCI are not subject to an impairment assessment.

Business model assessment:

The Company determines its business model at the level that best reflects how it manages groups of financial assets to achieve its business objective.

The Company's business model is not assessed on an instrument-by-instrument basis, but at a higher level of aggregated portfolios and is based on observable factors such as:

> How the performance of the business model and the financial assets held within that business model are evaluated and reported to the entity's key management personnel

> The risks that affect the performance of the business model (and the financial assets held within that business model) and, in particular, the way those risks are managed

> The expected frequency, value and timing of sales are also important aspects of the Company's assessment

If cash flows after initial recognition are realised in a way that is different from the Company's original expectations, the Company does not change the classification of the remaining financial assets held in that business model, but incorporates such information when assessing newly originated or newly purchased financial assets going forward.

The SPPI test (Solely Payments of Principal and Interest)

As a second step of its classification process the Company assesses the contractual terms of financial assets to identify whether they meet the SPPI test.

'Principal' for the purpose of this test is defined as the fair value of the financial assets at initial recognition and may change over the life of the financial asset.

The most significant elements of interest within a lending arrangement are typically the consideration for the time value of money and credit risk.

Notes forming part of the financial statements

(iii) Impairment of financial assets

The Company assesses on a forward looking basis the expected credit losses associated with its assets carried at amortised cost. The impairment methodology applied depends on whether there has been a significant increase in credit risk and if so, assess the need to provide for the same in the Statement of Profit and Loss.

The Company follows 'simplified approach' for recognition of impairment loss allowance on trade receivables.

The application of simplified approach does not require the Company to track changes in credit risk.

Rather, it recognises impairment loss allowance based on lifetime ECLs at each reporting date, right from its initial recognition.

Lifetime ECL are the expected credit losses resulting from all possible default events over the expected life of a financial instrument.

ECL impairment loss allowance (or reversal) is recognised during the period only if material and is recognised as income/expense in the Statement of Profit and Loss. This amount is reflected under the head 'other expenses' in the Statement of Profit and Loss.

Financial assets measured at amortised cost: ECL is presented as an allowance, i.e., as an integral part of the measurement of those assets in the Balance Sheet. The allowance reduces the net carrying amount. Until the asset meets write-off criteria, the Company does not reduce impairment allowance from the gross carrying amount.

(iv) Reclassification of financial assets and liabilities

The Company does not re-classify its financial assets subsequent to their initial recognition, apart from the exceptional circumstances when the Company changes its business model for managing such financial assets. The Company does not re-classify its financial liabilities.

(v) Derecognition of financial assets and financial liabilities

A financial asset is derecognised only when Company has transferred the rights to receive cash flows from the financial asset. Where the entity has transferred an asset, the Company evaluates whether it has transferred substantially all risks and rewards of ownership of the financial asset. In such cases, the financial asset is derecognised.

A financial liability is derecognised when the obligation under the liability is discharged, cancelled or expires.

(vi) Off-setting of financial instruments

Financial assets and liabilities are offset and the net amount is reported in the Balance Sheet when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously backed by past practice.

Equity Instruments

An equity instrument is any contract that evidences a residual interest in the assets of an entity after deducting all of its liabilities. Equity instruments issued by the Company are recognised at the proceeds received, net of direct issue costs. A conversion option that will be settled by the exchange of a fixed amount of cash or another financial asset for a fixed number of the Company's own equity instruments is an equity instrument.

No gain/loss is recognised in profit or loss on the purchase, sale, issue or cancellation of the Company's own equity instruments.

2.6 Impairment of Assets (Other than Financial assets)

An asset is considered as impaired when at the date of Balance Sheet there are indications of impairment and the carrying amount of the asset or where applicable the cash generating unit to which the asset belongs exceeds its recoverable amount (i.e. the higher of the net asset selling price less cost to sell and value in use). The carrying amount is reduced to the recoverable amount and the reduction is recognised as an impairment loss in the statement of Profit and Loss. The impairment loss recognised in the prior accounting period is reversed if there has been a change in the estimate of recoverable amount. Post impairment, depreciation is provided on the revised carrying value of the impaired asset over its remaining useful life.

2.7 Inventory Valuation

Inventories include stock of shares which are held for trading and are required to be classified as FVTPL (under changes in inventory) as per Ind AS-109.

Notes forming part of the financial statements

2.8 Taxation

- (i) Current income tax assets and liabilities are measured at the amount expected to be recovered from or paid to the taxation authorities, in accordance with the Income Tax Act, 1961 and the Income computation and Disclosure Standards prescribed therein. The tax rates and tax laws used to compute the amount are those that are enacted or substantively enacted, at the reporting date. Management periodically evaluates positions taken in the tax returns with respect to situations in which applicable tax regulations are subject to interpretation and establishes provisions where appropriate.
- (ii) Deferred tax is provided using the liability method on temporary differences arising between the tax base of assets and liabilities and their carrying amounts in the financial statements. Deferred tax is determined using tax rates that have been enacted or substantially enacted by the end of the reporting period and are expected to apply when the related deferred tax asset is realised or the deferred tax liability is settled.
- (iii) Deferred tax assets are recognised for all deductible temporary differences and unused tax losses only if it is probable that future taxable amounts will be available to utilise those temporary differences.
- (iv) The carrying amount of deferred tax assets is reviewed at each reporting date and reduced to the extent that it is no longer probable that sufficient taxable profit will be available to allow all or part of the deferred tax asset to be utilised. Unrecognised deferred tax assets are re-assessed at each reporting date and are recognised to the extent that it has become probable that future taxable profits will allow the deferred tax asset to be recovered.
- (v) Current and deferred tax is recognised in profit or loss, except to the extent that it relates to items recognised in other comprehensive income or directly in equity, if any. In this case, the tax is also recognised in other comprehensive income or directly in equity, respectively.
- (vi) Deferred tax assets and deferred tax liabilities are offset if a legally enforceable right exists to set off current tax assets against current tax liabilities and the deferred taxes relate to the same taxable entity and the same taxation authority.

2.9 Provisions, contingent liabilities and contingent assets

The Company creates a provision when there is present obligation as a result of past events, it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation and a reliable estimate can be made of the amount of the obligation. A disclosure for a contingent liability is made when there is a possible obligation or a present obligation that may, but probably will not, require an outflow of resources. When the likelihood of outflow of resources is remote, no provision or disclosure is made.

If the effect of the time value of money is material, provisions are discounted using a current pre-tax rate that reflects, when appropriate, the risks specific to the liability. When discounting is used, the increase in the provision due to the passage of time is recognised as a finance cost.

Contingent assets are neither recognized nor disclosed except when realisation of income is virtually certain, related asset is disclosed. Provisions, contingent liabilities and contingent assets are reviewed at each balance sheet date.

2.10 Operating Segment

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision-maker (CODM). The CODM, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the Board of Directors. Based on such the Company operates in one operating segment, viz. non banking financial services. The Company operates in one geographical segment in India.

2.11 Employee benefits

A liability is recognised for benefits accruing to employees in respect of wages and salaries, annual leave and sick leave in the period the related service is rendered at the undiscounted amount of the benefits expected to be paid in exchange for that service.

Payment of Gratuity Act is not applicable to the company as numbers of employees are less than the minimum required for applicability of Gratuity Act.

2.12 Cash and cash equivalents

For the purpose of presentation in the Statement of Cash Flows, cash and cash equivalents includes cash on hand, other short-term, highly liquid investments with original maturities of three months or less that are readily convertible to known amounts of cash and which are subject to an insignificant risk of changes in value.

Notes forming part of the financial statements

2.13 Earnings per share

Basic earnings per share is calculated by dividing the net profit or loss for the period attributable to equity shareholders by the weighted average number of equity shares outstanding during the period. Earnings considered in ascertaining the Company's earnings per share is the net profit for the period.

The weighted average number of equity shares outstanding during the period and all periods presented is adjusted for events, such as bonus shares, other than the conversion of potential equity shares that have changed the number of equity shares outstanding without a corresponding change in resources. For the purpose of calculating diluted earnings per share, the net profit or loss for the period attributable to equity shareholders and the weighted average number of share outstanding during the period is adjusted for the effects of all dilutive potential equity shares.

2.14 Fair value measurement

The Company measures financial instruments, such as, investment in mutual funds at fair value at each balance sheet date. Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date.

The fair value measurement is based on the presumption that the transaction to sell the asset or transfer the liability takes place either

> In the principal market for the asset or liability, or

> In the absence of a principal market, in the most advantageous market for the asset or liability.

The principal or the most advantageous market must be accessible by the Company.

The fair value of an asset or a liability is measured using the assumptions that market participants would use when pricing the asset or liability, assuming that market participants act in their economic best interest.

The Company uses valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, maximising the use of relevant observable inputs and minimizing the use of unobservable inputs.

All assets and liabilities for which fair value is measured or disclosed in the financial statements are categorised within the fair value hierarchy, described as follows, based on the lowest level input that is significant to the fair value measurement as a whole:

> Level 1 - Quoted (unadjusted) market prices in active markets for identical assets or liabilities

> Level 2 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is directly or indirectly observable

> Level 3 - Valuation techniques for which the lowest level input that is significant to the fair value measurement is unobservable.

The Company has set policies and procedures for both recurring and non-recurring fair value measurement of financial assets, which includes valuation techniques and inputs to use for each case.

For the purpose of fair value disclosures, the Company has determined classes of assets and liabilities on the basis of the nature, characteristics and risks of the asset or liability and the level of the fair value hierarchy as explained above.

2.15 Cash Flow Statement

Cash flows are reported using the indirect method, whereby profit/loss before tax is adjusted for the effects of transactions of a non-cash nature, any deferrals or accruals of past or future operating cash receipts or payments and item of income or expenses associated with investing or financing flows. The cash flows from operating, investing and financing activities of the Company are segregated.

Notes forming part of the financial statements

Note No. : 2.16 Critical accounting judgments, assumptions and key sources of estimation and uncertainty

The preparation of the financial statements in conformity with the measurement principle of Ind AS requires management to make estimates, judgments and assumptions. These estimates, judgments and assumptions affect the application of accounting policies and the reported amounts of assets and liabilities, the disclosures of contingent assets and liabilities at the date of the financial statements and reported amounts of revenues and expenses during the period. Accounting estimates could change from period to period. Actual results could differ from those estimates. Appropriate changes in estimates are made as management becomes aware of changes in circumstances surrounding the estimates. Differences between the actual results and estimates are recognized in the year in which the results are known / materialized and, if material, their effects are disclosed in the notes to the financial statements.

Application of accounting policies that require significant areas of estimation, uncertainty and critical judgments and the use of assumptions in the financial statements have been disclosed below. The key assumptions concerning the future and other key sources of estimation uncertainty at the balance sheet date, that have a significant risk of causing a material adjustment to the carrying amount of assets and liabilities within the next financial year are discussed below:

(i) Income taxes

The Company provides for tax considering the applicable tax regulations and based on reasonable estimates. Management periodically evaluates positions taken in the tax returns giving due considerations to tax laws and establishes provisions in the event if required as a result of differing interpretation or due to retrospective amendments, if any.

Deferred income tax expense is calculated based on the differences between the carrying value of assets and liabilities for financial reporting purposes and their respective tax bases that are considered temporary in nature. Valuation of deferred tax assets is dependent on management's assessment of future recoverability of the deferred benefit. Expected recoverability may result from expected taxable income in the future, planned transactions or planned optimising measures. Economic conditions may change and lead to a different conclusion regarding recoverability.

(ii) Fair value measurements and valuation processes:

Investments are measured at fair value for financial reporting purposes. Fair value measurements are categorised into Level 1, 2, or 3 based on the degree to which the inputs to the fair value measurements are observable and the significance of the inputs to the fair value measurement in its entirety.

Information about the valuation techniques and inputs used in determining the fair value of various assets and liabilities are disclosed in the notes to the financial statements.

Note No. 2.17 : Recent Pronouncements

Ministry of Corporate Affairs ("MCA") notifies new standards or amendments to the existing standards under Companies (Indian Accounting Standards) Rules as issued from time to time. For the year ended 31st March, 2024, MCA has not notified any new standards or amendments to the existing standards applicable to the Company.

BAID MERCANTILES LIMITED

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Notes forming part of the financial statements (Contd.)

		As at 31.03.2024 (₹ in Lacs)	As at 31.03.2023 (₹ in Lacs)
3	<u>Cash and Cash Equivalents</u>		
i	Cash in hand	0.35	0.35
ii	Balances with Banks -- In Current Accounts	5.15	3.43
		<u>5.50</u>	<u>3.78</u>
4	<u>Receivables</u>		
i	<u>Trade Receivables</u>		
a	Receivables considered good - Unsecured	1.35	1.35
	Total - Gross	<u>1.35</u>	<u>1.35</u>
	Less: Impairment loss allowance	-	-
	Total - Net	<u>1.35</u>	<u>1.35</u>
	# For Ageing schedule - Note No. 4.1		
6	<u>Other Financial Assets (Unsecured, considered good)</u>		
a			
	Stock in trade (Securities held for trading) (refer note 6.1)	1.16	1.16
b	Other Receivables	0.28	-
		<u>1.44</u>	<u>1.16</u>
7	<u>Current Tax Assets (Net)</u>		
	Tax deducted at source	1.80	-
		<u>1.80</u>	<u>-</u>
8	<u>Other Investments</u>		
	In Jewellery	6.75	6.75
		<u>6.75</u>	<u>6.75</u>

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Notes forming part of the financial statements (Contd.)

NOTE - 4.1**Trade Receivable Ageing Schedule as on 31st March, 2024**

Particulars	Outstanding for following periods from due date of payment					(₹ in Lacs)
	Less than 6 months	6 months- 1 year	1-2 years	2-3 years	More than 3 years	Total
i) Undisputed Trade Receivables - Considered good	1.35	-	-	-	-	1.35
ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-
iii) Undisputed Trade Receivables - Credit Impaired	-	-	-	-	-	-
iv) Disputed Trade Receivable -Considered good	-	-	-	-	-	-
v) Disputed Trade Receivable - which have significant increase in credit risk	-	-	-	-	-	-
vi) Disputed Trade Receivables - Credit Impaired	-	-	-	-	-	-

Trade Receivable Ageing Schedule as on 31st March, 2023

Particulars	Outstanding for following periods from due date of payment					(₹ in Lacs)
	Less than 6months	6months- 1 year	1-2 years	2-3 years	More than 3 years	Total
	31.03.2023	31.03.2023	31.03.2023	31.03.2023	31.03.2023	31.03.2023
i) Undisputed Trade Receivables - Considered good	1.35	-	-	-	-	1.35
ii) Undisputed Trade Receivables - which have significant increase in credit risk	-	-	-	-	-	-
iii) Undisputed Trade Receivables - Credit Impaired	-	-	-	-	-	-
iv) Disputed Trade Receivable -Considered good	-	-	-	-	-	-
v) Disputed Trade Receivable - which have significant increase in credit risk	-	-	-	-	-	-
vi) Disputed Trade Receivables - Credit Impaired	-	-	-	-	-	-

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Notes forming part of the financial statements (Contd.)

		As at 31.03.2024	As at 31.03.2023
5	Investments in Financial Instruments		
	FV (₹)	No. of Units (₹ in Lacs)	No. of Units (₹ in Lacs)
I	At fair value through other comprehensive income (FVTOCI) (refer note below)		
	Mutual Funds		
	(Quoted, Fully paid up)		
	ICICI Prudential All Seasons Bond Fund - Direct Plan - Growth	-	10,74,829.570
	ICICI Prudential Equity & Debt Fund - Direct Plan - Growth	-	40,308.298
	UTI Short Term Income Fund - Direct Growth Plan	-	13,79,985.670
	Total I	-	846.11
II	At fair value through Profit and Loss (FVTPL) (refer note below)		
	Mutual Funds		
	(Quoted, Fully paid up)		
	ICICI Prudential All Seasons Bond Fund - Direct Plan - Growth	10,74,829.570	383.38
	ICICI Prudential Equity & Debt Fund - Direct Plan - Growth	40,308.298	149.49
	UTI Short Term Income Fund - Direct Growth Plan	13,45,577.247	409.85
	Total II	942.72	-
i	Investment outside India	-	-
ii	Investment in India	942.72	846.11
	Total II	942.72	846.11
	Less: Allowance for Impairment Loss (III)	-	-
	Total Net IV = I - III	942.72	846.11

Foot note:

Based on business model of the Company, the investment in mutual funds have been reclassified from FVTOCI to FVTPL. Accordingly, cumulative gain/loss and deferred tax thereon recognised in OCI have been reclassified to the Statement of Profit and Loss.

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Notes forming part of the financial statements (Contd.)**6.1 Stock in trade (Securities held for trading)****(Measured at fair value through Profit or Loss)**

	FV (₹)	As at 31.03.2024		As at 31.03.2023	
		Qty.	(₹ in Lacs)	Qty.	(₹ in Lacs)
Shares (Quoted) Fully Paid up					
Bala Techno Global Limited	1	60000	1.14	60000	1.14
Checons Limited	10	700	0.01	700	0.01
Varanasi Commercial Limited	10	800	0.01	800	0.01
Total		61500	1.16	61500	1.16

Summary

(i) Outside India

(ii) In India

-

1.16

-

1.16

Notes forming part of the financial statements (Contd.)

		As at 31.03.2024 (₹ in Lacs)	As at 31.03.2023 (₹ in Lacs)
9	Other Financial Liabilities		
	Salary and Other Payables	1.88	1.67
	Liabilities for Expenses	0.55	0.63
		<u>2.43</u>	<u>2.30</u>
*Previous year numbers have been reclassified. The affected financial statement line items have been restated as follows:			
	Balance Sheet Extract	Other Financial Liabilities	Other Current Liabilities
	Balance as at 01.04.2022 (as reported)	-	2.23
	Adjustment	2.23	(2.23)
	Balance as at 01.04.2022 (reclassified)	<u>2.23</u>	<u>-</u>
	Balance as at 31.03.2023 (as reported)	-	2.30
	Adjustment	2.30	(2.30)
	Balance as at 31.03.2023 (reclassified)	<u>2.30</u>	<u>-</u>
10	Current Tax Liabilities		
	Provision for Income Tax Payable	-	0.79
		<u>-</u>	<u>0.79</u>
11	Deferred Tax Liabilities (Net)		
	Financial Assets - Investments	54.73	28.79
		<u>54.73</u>	<u>28.79</u>
Tax effect of items consisting deferred tax liabilities:			
Investments			
	Opening Balance	28.79	16.13
	Recognised in profit and loss	54.73	-
	Recognised in other comprehensive income	18.32	12.66
	Reclassification to profit and loss (Refer note 5)	(47.11)	-
	Closing Balance	<u>54.73</u>	<u>28.79</u>
Tax effect of items consisting deferred tax assets			
	Net deferred tax liabilities / (assets)	<u>54.73</u>	<u>28.79</u>
12	Other Non-Financial Liabilities		
	Statutory Dues Payable	0.10	0.06
		<u>0.10</u>	<u>0.06</u>
	Refer note 9.		
14	Other Equity		
a	Reserve Fund		
	Balance at the beginning of the year	45.35	45.35
	Add: Transfer from Statement of Profit and Loss*	43.51	-
	Balance at the at the end of the year	<u>88.86</u>	<u>45.35</u>

Notes forming part of the financial statements (Contd.)

	As at 31.03.2024 (₹ in Lacs)	As at 31.03.2023 (₹ in Lacs)
b General Reserve		
Balance at the beginning of the year	117.17	117.17
Addition during the year	-	-
Balance at the at the end of the year	117.17	117.17
c Retained Earnings		
Balance at the beginning of the year	2.02	11.46
Profit / (Loss) for the year	217.57	(9.43)
Less: Transfer to Reserve Fund	(43.51)	-
Add: Transferred from OCI	10.24	-
Balance at the at the end of the year	186.32	2.02
d Equity Instrument through Other Comprehensive Income		
Balance at the beginning of the year	152.71	123.05
Addition during the year	57.04	29.66
Less: Amount transferred to Retained earnings	(10.24)	-
Less: Amount reclassified to statement of profit and loss#	(199.51)	-
Balance at the at the end of the year	0.00	152.71
Total Other Equity (a+b+c+d)	392.35	317.25

*Transfer to Reserve Fund: As prescribed under section 45-IC of the Reserve Bank of India Act, 1934, the Company has transferred 20% of its net profit, as disclosed in the Statement of Profit and Loss before any dividend is declared, to Reserve Fund.

Refer note 5.

Nature and Purpose of each reserve:

a) General reserve

General reserve has been created out of the profits of the company and can be utilised in accordance with the provisions of the Companies Act, 2013.

b) Reserve fund

As per Section 45-IC(i) of the Reserve Bank of India Act, 1934 ("The RBI Act"), the Company is required to transfer an amount not less than 20% of its net profits (PAT) for the year to a reserve fund before declaring any dividend. Appropriation from this reserve fund is premitted only for the purposes specified by the Reserve Bank of India (RBI).

c) Retained earnings

Retained Earnings represents the cumulative profits of the Company. This can be utilised in accordance with the provisions of the Companies Act, 2013.

d) Equity Instruments through other comprehensive income

Fair valuation of equity instruments represents the cumulative gains and losses arising on fair valuation of equity instruments measured at fair value through other comprehensive income, net of tax.

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Notes forming part of the financial statements (Contd.)

13 Equity Share Capital

	As at 31.03.2024		As at 31.03.2023	
	No. of Shares	(₹ in Lacs)	No. of Shares	(₹ in Lacs)
a <u>Authorised Share Capital</u>				
Ordinary Equity Shares of ₹ 10/- each with voting rights	55,00,000	550.00	55,00,000	550.00
	55,00,000	550.00	55,00,000	550.00
b <u>Issued Share Capital</u>				
Ordinary Equity Shares of ₹ 10/- each with voting rights	50,99,520	509.95	50,99,520	509.95
	50,99,520	509.95	50,99,520	509.95
c <u>Subscribed and Paid-up Share Capital</u>				
Ordinary Equity Shares of ₹ 10/- each with voting rights	50,99,520	509.95	50,99,520	509.95
	50,99,520	509.95	50,99,520	509.95

d Reconciliation of the number of shares at the beginning and at the end of the year

<u>Equity Shares</u>	As at 31st March 2024		As at 31st March 2023	
	No. of Shares	(₹ in Lacs)	No. of Shares	(₹ in Lacs)
At the beginning of the year	50,99,520	509.95	50,99,520	509.95
Issued during the year	-	-	-	-
Outstanding at the end of the year	50,99,520	509.95	50,99,520	509.95

e Rights attached to the Shares

The company has only one class of shares having par value of ₹ 10/- per share. Each holder of equity shares is entitled to one vote per share. The dividend proposed, if any, by the Board of Directors is subject to the approval of the shareholders in the ensuring Annual General Meeting. In the event of the liquidation of the company, the equity shareholders are eligible to receive remaining assets of the company after distribution of all preferential amounts, in proportion to their shareholding.

f Details of the Shareholder holding shares more than 5 %

Name of the Shareholder	As at 31st March 2024		As at 31st March 2023	
	No. of Shares	% of holding	No. of Shares	% of holding
N.P. Agarwala & Others (HUF)	301520	5.91 %	301520	5.91 %
Kiran Devi Agarwala	835300	16.38 %	835300	16.38 %

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Notes forming part of the financial statements (Contd.)

g Shares held by promoters at the end of the year

Shares held by Promoters as at 31.03.2024				
Sl. No.	Promoter Name	No. of Shares	% of Total Shares	% Changes during the year
1	Kiran Devi Agarwala	8,35,300	16.38%	-
2	N.P. Agarwala & Others (HUF)	3,01,520	5.91%	-
3	Nirmaldeep Resources Ltd.	27,300	0.54%	-
	Total	11,64,120	22.83%	-

Shares held by Promoters as at 31.03.2023				
Sl. No.	Promoter Name	No. of Shares	% of Total Shares	% Changes during the year
1	Kiran Devi Agarwala	8,35,300	16.38%	-
2	N.P. Agarwala & Others (HUF)	3,01,520	5.91%	-
3	Nirmaldeep Resources Ltd.	27,300	0.54%	-
	Total	11,64,120	22.83%	-

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Notes forming part of the financial statements (Contd.)

	Year ended 31.03.2024 (₹ in Lacs)	Year ended 31.03.2023 (₹ in Lacs)
15 <u>Net gain/ (loss) on fair value changes</u>		
Net gain on financial instruments at fair value through profit or loss		
Investment in Mutual Fund (refer note 5)	277.89	-
Total gain on fair value changes	277.89	-
Fair value changes		
Realised	1.89	-
Unrealised	276.00	-
	277.89	-
16 <u>Other Income</u>		
Interest on Income Tax Refund	0.06	0.07
Consultancy Fees	18.00	18.00
	18.06	18.07
17 <u>Changes in Inventories of Stock-In-Trade</u>		
Opening Stock in trade - Securities	1.16	1.16
Less: Closing Stock in trade - Securities	1.16	1.16
	-	-
18 <u>Employee Benefits Expenses</u>		
Salaries and Allowances	22.79	21.33
	22.79	21.33
19 <u>Other Expenses</u>		
Rates & Taxes	0.03	0.03
<u>Payment to Auditors</u>		
For Statutory Audit	0.30	0.25
Advertisement Charges	0.18	0.17
Professional Fees	1.34	1.34
Listing & Connectivity Fee	1.25	1.29
Miscellaneous Expenses	0.35	0.49
	3.45	3.57
20 <u>Tax Expenses</u>		
<u>Current Tax</u>		
- For the year	-	2.59
- Relating to Earlier Year	(2.59)	0.01
	(2.59)	2.60
Deferred tax (Refer Note 11)	54.73	-
Total tax recognised in Statement of Profit and Loss	52.14	2.60

20.1 The income tax expenses for the year can be reconciled to the accounting profit as follows:

	Year ended 31.03.2024 (₹ in Lacs)	Year ended 31.03.2023 (₹ in Lacs)
Profit/(Loss) before tax	269.71	(6.83)
Applicable Tax Rate	25.17%	25.17%
Computed Tax Expense	67.88	(1.72)
Income Tax for Earlier Year	(2.59)	0.01

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Notes forming part of the financial statements (Contd.)

	Year ended 31.03.2024 (₹ in Lacs)	Year ended 31.03.2023 (₹ in Lacs)
<u>Tax effect of :</u>		
Effect of taxable at different	-	4.31
Effect of taxable temporary differences	(13.15)	-
Tax Expenses recognised in Statement of Profit and Loss	52.14	2.60
21 Other Comprehensive Income		
<u>Items that will not be reclassified to profit or loss</u>		
Equity instruments measured through Other comprehensive income	75.36	42.32
Tax expense on the above	(18.32)	(12.66)
	57.04	29.66
22 Earning per Shares		
Nominal Value of Equity Shares (₹)	10.00	10.00
a) Profit / (Loss) for the year	217.57	(9.43)
b) Weighted Average Number of Equity Shares	50,99,520	50,99,520
Basic EPS (a/b)	4.27	(0.19)
c) Weighted Average Number of Equity Shares	50,99,520	50,99,520
Diluted EPS (a/c)	4.27	(0.19)

Notes forming part of the financial statements (Contd.)

23 CAPITAL MANAGEMENT

For the purpose of the Company's capital management, capital includes issued equity capital and all other equity reserves attributable to the equity holders of the Company. The primary objective of the Company's capital management is to maximise the shareholder value.

The Company manages its capital structure and makes adjustments in light of changes in economic conditions and the requirements of the financial covenants. To maintain or adjust the capital structure, the Company may adjust the dividend payment to shareholders, return capital to shareholders or issue new shares. The Company monitors capital using a gearing ratio, which is net debt divided by total capital plus net debt.

The gearing ratio at end of the reporting period was as follows:

(₹ in Lacs)

Particulars	As at 31.03.2024	As at 31.03.2023
Gross Debt	-	-
Cash and Marketable Securities	5.50	3.78
Net Debt (A)	-5.50	-3.78
Total Equity (As per Balance Sheet) (B)	902.30	827.20
Net Gearing (A/B)	-	-

24 FINANCIAL INSTRUMENTS**i Financial instruments by category and Fair Valuation Measurement Hierarchy:**

The material accounting policies, including the criteria for recognition, the basis of measurement and the basis on which income and expenses are recognised, in respect of each class of financial asset, financial liability and equity instrument are disclosed in note 2.5 to the financial statements.

(₹ in Lacs)

Particulars	As at 31.03.2024		As at 31.03.2023	
	Carrying Amount	Fair Value	Carrying Amount	Fair Value
Financial Assets				
At Amortised Cost				
Cash and Cash Equivalents	5.50	5.50	3.78	3.78
Trade Receivables	1.35	1.35	1.35	1.35
Other Financial Assets	0.28	0.28	-	-
At FVTOCI				
Investments	-	-	846.11	846.11
At FVTPL				
Investments	942.72	942.72	-	-
Other Financial Assets (stock in trade - Securities)	1.16	1.16	1.16	1.16
Financial Liabilities				
At Amortised Cost				
Other Financial Liabilities	2.43	2.43	2.30	2.30

Note:

For financial assets and financial liabilities carried at amortised cost such as cash & cash equivalents, trade receivables and other financial assets and other financial liabilities that have a short-term maturity (less than twelve months), the carrying amounts, are a reasonable approximation of their fair value.

(₹ in Lacs)

Financial instruments	Fair value as at		Fair value hierarchy	Valuation technique(s) and key input(s)	Significant unobservable input(s)	Relationship of unobservable inputs to fair value
	As at 31.03.2024	As at 31.03.2023				
Investment in Equity Instruments- Investment in Mutual funds (Quoted)	942.72	846.11	Level 1	Published Net Asset Value	N.A.	N.A.
Stock in trade (Securities held for trading) (Quoted)	1.16	1.16	Level 1	Published Market Price	N.A.	N.A.
Financial Assets at FVTPL/FVTOCI	943.87	847.27				

Level 1: Level 1 hierarchy includes financial instruments measured using quoted prices. This includes listed equity instruments, traded bonds and mutual funds that have quoted price. The fair value of all equity instruments which are traded in the stock exchanges is valued using the closing price as at the reporting period. The mutual funds are valued using the closing NAV.

Level 2: The fair value of financial instruments that are not traded in an active market (for example, traded bonds, over-the-counter derivatives) is determined using valuation techniques which maximise the use of observable market data and rely as little as possible on entity-specific estimates. If all significant inputs required to fair value an instrument are observable, the instrument is included in level 2.

Level 3: If one or more of the significant inputs is not based on observable market data, the instrument is included in level 3. This is the case for unlisted equity securities, contingent consideration and indemnification asset included in level 3.

There are no transfers between levels 1, 2 and 3 during the year.

ii Financial risk management objectives

The Company's activities expose it to a variety of financial risks, including credit risk and liquidity risk. The Company's financial risk management process seeks to enable the early identification, evaluation and effective management of key risks facing the business. The current Risk Management System rests on policies and procedures issued by appropriate authorities, internal control systems, process of regular reviews / audits to set appropriate risk limits and controls; monitoring of such risks and compliance confirmation for the same.

a) Liquidity risk

Liquidity risk is the risk that the Company does not have sufficient financial resources to meet its obligations as they fall due, or will have to do so at an excessive cost. This risk arises from mismatches in the timing of cash flows which is inherent in all finance driven organisations and can be affected by a range of Company-specific and market-wide events. The objectives of the Company's liquidity risk management processes are to lessen the impact of liquidity risk by minimizing mismatch in timing of cash flow.

The Company mitigates its liquidity risks by ensuring timely collections of its receivables and close monitoring of its credit cycle. The table below provides details regarding the remaining contractual maturities of significant financial assets and liabilities at the reporting date:

(₹ in Lacs)							
Particulars	Note No.	Upto 1 year	More than 1 year	As at 31.03.2024	Upto 1 year	More than 1 year	As at 31.03.2023
Financial assets							
Cash and Cash Equivalents	3	5.50	-	5.50	3.78	-	3.78
Trade Receivables	4	1.35	-	1.35	1.35	-	1.35
Investments in Financial Instrument	5	942.72	-	942.72	846.11	-	846.11
Other Financial Assets	6	1.44	-	1.44	1.16	-	1.16
Total		951.01	-	951.01	852.40	-	852.40
Financial liabilities							
Other Financial Liabilities	9	2.43	-	2.43	2.30	-	2.30
Total		2.43	-	2.43	2.30	-	2.30

b) Foreign Currency Risk : N.A.

c) Credit Risk:

Credit risk is the risk that a customer or counterparty to a financial instrument fails to perform or pay the amounts due, causing financial loss to the company. Credit risk arises from company's activities in investments and outstanding receivables from customers.

The Company has a prudent and conservative process for managing its credit risk arising in the course of its business activities. Dues from customers to whom sales are made on credit are generally recovered within credit days allowed to the customer.

Following provides exposure to credit risk for trade receivables:

(₹ in Lacs)		
Particulars	As at 31.03.2024	As at 31.03.2023
Trade Receivables	1.35	1.35
Other Receivables	0.28	-
Total	1.63	1.35

d) Price risk

Price risk is the risk that the fair value of financial instrument will fluctuate due to change in market traded price. The company mitigates its price risk through regular tracking of the prices and take necessary actions as and when required.

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Notes forming part of the financial statements (Contd.)

25 Maturity Analysis of Assets and Liabilities

The table below shows an analysis of assets and Liabilities according to when they are expected to be recovered or settled:-

		As at 31.03.2024			As at 31.03.2023			(₹ in Lacs)
		Upto 12 months	More than 12 months	Total	Upto 12 months	More than 12 months	Total	
ASSETS								
1	FINANCIAL ASSETS							
a	Cash and Cash Equivalents	5.50	-	5.50	3.78	-	3.78	3.78
b	Trade Receivables	1.35	-	1.35	1.35	-	1.35	1.35
c	Investments	942.72	-	942.72	846.11	-	846.11	846.11
d	Other Financial Assets	1.44	-	1.44	1.16	-	1.16	1.16
2	NON FINANCIAL ASSETS							
a	Current Tax Assets (Net)	1.80	-	1.80	-	-	-	-
c	Other Investments	-	6.75	6.75	-	6.75	6.75	6.75
	Total Assets	952.81	6.75	959.56	852.40	6.75	859.15	859.15
		As at 31.03.2024			As at 31.03.2023			
		Upto 12 months	More than 12 months	Total	Upto 12 months	More than 12 months	Total	
LIABILITIES								
3	FINANCIAL LIABILITIES							
	Other Financial Liabilities	2.43	-	2.43	2.30	-	2.30	2.30
4	NON FINANCIAL LIABILITIES							
a	Current Tax Liabilities (Net)	-	-	-	0.79	-	0.79	0.79
b	Deferred Tax Liabilities (Net)	-	54.73	54.73	-	28.79	28.79	28.79
c	Other Non-Financial Liabilities	0.10	-	0.10	0.06	-	0.06	0.06
	Total Liabilities	2.54	54.73	57.26	3.15	28.79	31.94	31.94

Notes forming part of the financial statements (Contd.)

- 26 Management has determined that there were no balances outstanding as at the beginning of the year and no transactions entered with Micro, Small and Medium Enterprises as defined under Micro, Small and Medium Enterprises Development Act, 2006, during the current year, based on the information available with the Company as at 31st March, 2024 and 2023.
- 27 Disclosure as required under Indian Accounting Standard (Ind AS) -19 with respect to long term benefits and other retirement benefits are not applicable to the Company.
- 28 Related Parties disclosures as required by Indian Accounting Standard (Ind AS) - 24.

a) List of Related Parties and Relationship:

Key Management Personnel	
Mr. Binod Kumar Khandelwal	Managing Director
Mrs. Sabita Khandelwal	Director & CFO
Mr. Jayesh Maitra Majumder	Director
Ms. Jyoti Shaw	Company Secretary (Appointed on 14.11.2022)
Mr. Annupam Ghosh	Company Secretary (Resigned on 27.10.2022)

b) Details of transaction during the year

(₹ in Lacs)

Name of the related parties	Nature of transactions	Volume of transactions		Outstanding as on	
		2023-24	2022-23	As at 31.03.2024	As at 31.03.2023
Key Management Personnel					
Mr. Binod Kumar Khandelwal	Remuneration	12.62	11.30	1.01	0.94
Mrs. Sabita Khandelwal	Remuneration	1.20	1.20	0.10	0.10
Ms. Jyoti Shaw	Remuneration	5.12	1.92	0.44	0.33
Mr. Annupam Ghosh	Remuneration	-	3.51	-	-

c) The transactions with related parties have been entered at amounts which are not materially different from those on normal commercial terms.

d) The amounts outstanding are unsecured and will be settled in cash. No guarantees have been given or received. No provision for bad or doubtful debts has been recognized in current year and previous year in respect of the amounts owed by related parties.

29 Segment Reporting:

Operating segments are defined as components of an enterprise for which discrete financial information is available that is evaluated regularly by the Chief Operating Decision Maker, in deciding how to allocate resources and assessing performance. Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. Based on the management approach as defined in Ind AS 108, the Chief Operating Decision Maker evaluates the Company's performance based on only one segment i.e. Investment in Shares and Securities.

30 Contingent Liabilities and commitments (to the extent not provided for):

The company does not have any contingent liabilities and commitments as on 31st March, 2024 and 31st March, 2023.

31 Disclosure pursuant to Section 186(4) of the Companies Act, 2013:

The Company has not provided any loan, guarantee or security.

32 Disclosure of detail as required to be furnished by the NBFCs as per paragraph 31 of Master Direction - Reserve Bank of India (Non-Banking Financial Company -Scale Based Regulations) Directions, 2023 are given as per separate annexure attached hereto.**33 The disclosures as required by the NBFC Master Directions issued by RBI:****A) Exposures**

(₹ in Lacs)

Particular	2023-24	2022-23
------------	---------	---------

I) Exposure to Capital Market: -

Direct investment in equity shares, convertible warrants, convertible bonds, convertible debentures and units of equity-oriented mutual funds the corpus of which is not exclusively invested in corporate debt	943.87	847.26
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II) Related party disclosures Refer to Note 28 to the financial statements.

34 Additional regulatory information

a) Ratio Analysis

Sl.	Ratio	Numerator	Denominator	Ratios for the year ended		Variance	Reason for Variance +/-25%
				31-03-2024	31-03-2023		
1	Capital to risk-weighted assets ratio (CRAR)	Tier 1 Capital + Tier 2 Capital	Risk-Weighted Assets	65.77%	NA	NA	NA
2	Tier I CRAR	Tier 1 Capital	Risk-Weighted Assets	65.77%	NA	NA	NA
3	Tier II CRAR	Tier 2 Capital	Risk-Weighted Assets	NA	NA	NA	NA
4	Liquidity Coverage Ratio	High quality liquid asset amount	Total net cash flow amount	37388.42%	NA	NA	NA

b) Disclosure required under Additional regulatory information as prescribed under paragraph 6Y to general instructions for preparation of Balance Sheet under Schedule III to the Companies Act, 2013 are not applicable to the Company except as disclosed in Para (a) above.

35 Previous Year figures have been rearranged wherever considered necessary.

The accompanying notes are an integral part of the Financial Statements

As per our report of even date annexed

For G.P. Agrawal & Co.

Chartered Accountants

Firm Registration No. 302082E

For and on behalf of the Board of Directors

(CA. Sunita Kedia)

Partner

Membership No. 060162

Binod Kumar Khandelwal

(DIN 00710467)

Managing Director

Jayesh Maitra Majumder

(DIN 02664850)

Director

Place: Kolkata

Dated: 30th May, 2024

Jyoti Shaw

(Company Secretary)

(Membership No. A59514)

Sabita Khandelwal

(CFO & Director)

(DIN 07290866)

BAID MERCANTILES LTD.

Annexure referred to in Note No. 32 of the notes forming part of the financial statements for the year ended 31st March, 2024

Disclosure as required in terms of paragraph 31 of Master Direction - Reserve Bank of India (Non-Banking Financial Company -Scale Based Regulations) Directions, 2023

(₹ in Lacs)

	Particulars		
	<u>Liabilities Side :</u>		
(1)	Loans and advances availed by the NBFC inclusive of interest accrued thereon but not paid :	Amount Outstanding	Amount Overdue
	(a) Debentures : Secured	Nil	Nil
	: Unsecured	Nil	Nil
	(Other than falling within the meaning of public deposits)		
	(b) Deferred Credits	Nil	Nil
	(c) Term Loans	Nil	Nil
	(d) Inter-corporate loans and borrowing	Nil	Nil
	(e) Commercial Paper	Nil	Nil
	(f) Other Loans	Nil	Nil
	Assets side		
		Amount Outstanding	
(2)	Break-up of Loans and Advances including bills receivables [Other than those included in (4) below] :		
	(a) Secured		Nil
	(b) Unsecured		Nil
(3)	Break up of Leased Assets and stock on hire and hypothecation loans counting towards AFC activities :		
	(i) Lease assets including lease rentals under sundry debtors.		
	(a) Financial Lease		Nil
	(b) Operating Lease		Nil
	(ii) Stock on hire including hire charges under sundry debtors :		
	(a) Assets on hire		Nil
	(b) Repossessed Assets.		Nil
	(iii) Other loans counting towards AFC activities		
	(a) Loans where assets have been repossessed		Nil
	(b) Loans other than (a) above		Nil

BAID MERCANTILES LTD.

Annexure referred to in Note No. 32 of the notes forming part of the financial statements for the year ended 31st March, 2024

Disclosure as required in terms of paragraph 31 of Master Direction - Reserve Bank of India (Non-Banking Financial Company -Scale Based Regulations) Directions, 2023

(₹ in Lacs)

(4)	Break - up of Investments : Current Investments : 1 <u>Quoted</u> : (i) Shares : (a) Equity (b) Preference (ii) Debentures and Bonds (iii) Units of Mutual funds (iv) Government Securities (v) Others 2 <u>Unquoted</u> : (I) Shares : (a) Equity (b) Preference (ii) Debentures and Bonds (iii) Units of Mutual funds (iv) Government Securities (v) Others	1.16 Nil Nil Nil Nil Nil Nil Nil Nil Nil Nil Nil		
	<u>Long Term Investment</u> : 1 <u>Quoted</u> : (i) Share : (a) Equity (b) Preference (ii) Debentures and Bonds (iii) Units of mutual funds (iv) Government Securities (v) Others 2 <u>Unquoted</u> : (i) Shares : (a) Equity (b) Preference (ii) Debentures and Bonds (iii) Units of Mutual funds (iv) Government Securities (v) Others	Nil Nil Nil 942.72 Nil Nil Nil Nil Nil Nil 6.75		
(5)	Borrower group-wise classification of assets financed as in (2) and (3) above			
		Amount net of provisions		
		Secured	Unsecured	Total
	1. Related Parties			
	(a) Subsidiaries	Nil	Nil	Nil
	(b) Companies in the same group	Nil	Nil	Nil
	(c) Other related parties	Nil	Nil	Nil
	2. Other than related parties	Nil	Nil	Nil
	Total	Nil	Nil	Nil

BAID MERCANTILES LTD.

Annexure referred to in Note No. 32 of the notes forming part of the financial statements for the year ended 31st March, 2024

Disclosure as required in terms of paragraph 31 of Master Direction - Reserve Bank of India (Non-Banking Financial Company -Scale Based Regulations) Directions, 2023

(₹ in Lacs)

(6) Investor group-wise classification of all investments (current and long term) in shares and securities (both quoted and unquoted) :		
Category	Market Value / Break up or fair value or NAV	Book Value (Net of Provisions)
1. Related Parties		
(a) Subsidiaries	Nil	Nil
(b) Companies in the same group	Nil	Nil
(c) Other related parties	Nil	Nil
2. Other than related parties	980.45	950.62
Total	980.45	950.62
(7) Other Information		
	Particulars	Amount
(i)	Gross Non-Performing Assets	0.00
	(a) Related parties	-
	(b) Other than related parties	0.00
(ii)	Net Non-Performing Assets	-
	(a) Related parties	-
	(b) Other than related parties	-
(iii)	Assets acquired in satisfaction of debt	Nil

For G.P. Agrawal & Co.
Chartered Accountants
Firm Registration No. 302082E

For and on behalf of the Board of Directors

(CA. Sunita Kedia)
Partner
Membership No. 060162
UDIN-

Binod Kumar Khandelwal
(DIN 07710467)
Managing Director

Jayesh Mitra Majumdar
(DIN 02664850)
Director

Place: Kolkata
Dated: 30th May, 2024

Jyoti Shaw
(Company Secretary)

Sabita Khandelwal
(CFO & Director)
(DIN 07290866)

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website:www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

ANNEXURE TO THE NOTICE FOR THE 36TH ANNUAL GENERAL MEETING OF THE COMPANY TO BE HELD ON MONDAY, 12TH DAY OF AUGUST, 2024

Name & Registered Address
of Sole/First named Member :

Joint Holders Name (If any) :

Folio No. / DP ID & Client ID :

No. of Equity Shares Held :

Dear Shareholder,

Subject: Process and manner for availing E-voting facility:

Pursuant to Provisions of Section 108 of the Companies Act, 2013, Rule 20 of the Companies (Management and Administration) Rules, 2014 as amended by the Companies (Management and Administration) Amendment Rules, 2015 and Regulation 44 of the SEBI (Listing Obligations and Disclosure Requirements) Rules 2015, the Company is pleased to provide E-voting facility to the members to cast their votes electronically on all resolutions proposed to be considered at the Annual General Meeting (AGM) to be held on Monday, 12th Day of August, 2024 at 02:00 P.M. at it Registered Office at 58, Elliot Road, 2nd Floor, Kolkata – 700016 and at any adjournment thereof.

The Company has engaged the services of National Securities Depository Limited (NSDL) to provide the e-voting facility. The e-voting facility is available at the link <https://www.evoting.nsdl.com>.

The Electronic Voting Particulars are set out below:

EVEN (Electronic Voting Event Number)	USER - ID	PASSWORD
129317		

The E-voting facility will be available during the following voting period:

Remote e-Voting start on	Remote e-Voting end on
09th August, 2024 at 9:00 A.M. (IST)	11th August, 2024 at 5:00 P.M. (IST)

Please read the instructions mentioned in the Notice of the AGM before exercising your vote.

Enclosure: AGM Notice / Attendance Slip / Proxy Form / Annual report

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NOTICE OF ANNUAL GENERAL MEETING

Notice is hereby given that the 36th Annual General Meeting (AGM) of the members of Baid Mercantiles Limited ("the Company") will be held on Monday, the 12th day of August, 2024 at 02.00 P.M. at its Registered Office situated at 58 Elliot Road, 2nd Floor, Kolkata – 700016 to transact the following business:

A. ORDINARY BUSINESS

1. To receive, consider and adopt the Audited Annual Standalone Balance Sheet as at 31st March 2024, the Statement of Profit and Loss for the year ended on that date and the reports of the Board of Directors and Auditors thereon.
2. To appoint a Director in place of Mrs. Sabita Khandelwal (DIN-07290866), who retires by rotation and, being eligible, offers herself for reappointment.
3. To appoint M/s. G.P. Agrawal & Co., Charter Accountants having Firm Registration Number 302082E, as the Statutory Auditor of the Company for a term of five years commencing from 1st April, 2024 up to the conclusion of Annual General Meeting to be held in the year 2029.

B. SPECIAL BUSINESS

4. **Approval of appointment of Statutory Auditor M/s. G.P. Agrawal & Co., for Financial Year 2023-24 to fill the casual vacancy**

To consider and if thought fit, to pass the following resolution as an Ordinary Resolution:

"RESOLVED THAT pursuant to the provisions of Section 139 of the Companies Act, 2013 and other applicable provisions, if any, of the Companies Act, 2013, read with the rules framed thereunder, including any statutory modification or amendment thereto or re-enactment thereof, for the time being in force, applicable SEBI Regulations and RBI Guidelines, the appointment of M/s. G. P. Agarwal & Co., Chartered Accountants, Firm Registration No. 302082E for the Financial Year 2023-24, be and is hereby approved to fill the casual vacancy caused due to resignation of M/s. Ranjit Jain & Co., at such remuneration as may be mutually decided.

RESOLVED FURTHER THAT any one of the Directors or the Company Secretary of the Company be and are hereby severally authorized to undertake such steps, acts and deeds, as may be necessary, to give effect to the above resolutions, including filing of necessary E-forms with Registrar of Companies, Kolkata."

5. **To re-appoint Mr. Binod Kumar Khandelwal (DIN - 00710467) as Managing Director of the Company for a further term of five years**

To consider and if thought fit, to pass the following resolution as a Special Resolution:

"RESOLVED THAT pursuant to the provisions of Sections 196, 197 and 203 read with Schedule V and other applicable provisions of the Companies Act, 2013 and the Companies (Appointment and

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Remuneration of Managerial Personnel) Rules, 2014, including any statutory modification(s) or re-enactment (s) thereof, for the time being in force, applicable SEBI Regulations and RBI Guidelines, approval of the Members be and is hereby accorded to re-appoint Mr. Binod Kumar Khandelwal (DIN – 00710467) as the Managing Director of the Company for the further term of five years, commencing from 17th February, 2025, at such remuneration as may be recommended by the Nomination and Remuneration Committee of the Company and within the prescribed limits of the Companies Act, 2013.

RESOLVED FURTHER THAT any one of the Directors or the Company Secretary of the Company be and are hereby severally authorized to undertake such steps, acts and deeds, as may be necessary, to give effect to the above resolutions, including filing of necessary E-forms with Registrar of Companies, Kolkata.”

6. To re-appoint Mr. Ashish Kumar Upadhyay (DIN- 08730076) as an Independent Director of the Company for the second term of five years

To consider and if thought fit, to pass the following resolution as a Special Resolution:

“**RESOLVED THAT** pursuant to the provisions of Sections 149, 152 read with Schedule IV and other applicable provisions of the Companies Act, 2013, including any statutory modification(s) or re-enactment (s) thereof, for the time being in force, applicable SEBI Regulations and RBI Guidelines, approval of the Members be and is hereby accorded to re-appoint Mr. Ashish Kumar Upadhyay (DIN – 08730076) as an Independent Director of the Company for the second term of five years, commencing from 30th March, 2025, on the terms and conditions recommended by Nomination and Remuneration Committee.

RESOLVED FURTHER THAT any one of the Directors or the Company Secretary of the Company be and are hereby severally authorized to undertake such steps, acts and deeds, as may be necessary, to give effect to the above resolutions, including filing of necessary E-forms with Registrar of Companies, Kolkata.”

7. To appoint Mr. Ashwani Agarwal (DIN- 10695507) as an Independent Director of the Company for a term of five years

To consider and if thought fit, to pass the following resolution as a Special Resolution:

“**RESOLVED THAT** pursuant to the provisions of Sections 149, 152 read with Schedule IV and other applicable provisions of the Companies Act, 2013, including any statutory modification(s) or re-enactment (s) thereof, for the time being in force, applicable SEBI Regulations and RBI Guidelines, approval of the Members be and is hereby accorded to appoint Mr. Ashwani Agarwal (DIN – 10695507) as an Independent Director of the Company for a period of five years, commencing from 12th August, 2024, on such terms and conditions as may be recommended by the Nomination and Remuneration Committee of the Company.

RESOLVED FURTHER THAT any one of the Directors or the Company Secretary of the Company be and are hereby severally authorized to undertake such steps, acts and deeds, as may be necessary, to give effect to the above resolutions, including filing of necessary E-forms with Registrar of Companies, Kolkata.”

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By Order of the Board of Directors of
Baid Mercantiles Limited

Place: Kolkata
Date: 13.07.2024

Jyoti Shaw
Company Secretary
Membership No. -A59514

NOTES:

1. A Statement pursuant to the provisions of Section 102(1) of the Companies Act 2013, relating to the Special Business to be transacted at the AGM, is annexed hereto. Further, additional information as required under Listing Regulations and Circulars issued thereunder are also annexed.
2. Member entitled to attend and vote at the ANNUAL GENERAL MEETING, is ENTITLED TO APPOINT A PROXY TO ATTEND AND VOTE INSTEAD OF HIMSELF/ HERSELF AND THE PROXY NEED NOT BE A MEMBER OF THE COMPANY. Pursuant to the provisions of Section 105 of the Companies Act, 2013, a person can act as a proxy on behalf of member not exceeding fifty (50) and holding in aggregate not more than ten percent of the total Share Capital of the Company. Members holding more than ten percent of the total Share Capital of the Company may appoint a single person as proxy, who shall not act as a proxy for any other Member. The instrument appointing Proxy as per the format included in the Annual Report should be deposited at the Registered Office of the Company, duly completed and sign not less than FORTY-EIGHT HOURS before the commencement of the meeting.
3. Corporate members intending to send their authorized representatives to attend the Meeting are requested to send to the Company a certified copy of the Board Resolution authorizing their representative to attend and vote on their behalf at the Meeting.
4. During the period beginning 24 hours before the time fixed for the commencement of the meeting and ending with the conclusion of the meeting, a member would be entitled to inspect the proxies lodged at any time during the business hours of the Company, provided that not less than three days of notice in writing is given to the Company.
5. The Register of Members and the Share Transfer Books of the Company will remain closed from 06th day of August, 2024 to 12th day of August, 2024 (both days inclusive).
6. The Ministry of Corporate Affairs ("MCA") has taken a "Green Initiative in the Corporate Governance" by allowing paperless compliances by Companies and has issued a circular on April 21, 2011 stating that the service of document by a Company can be made through electronic mode. Electronic copy of the Annual Report for the FY 2023-24 is being sent to all the members whose email id's are registered with the Company/Depository Participants. Members who have not yet registered their email addresses are requested to register the same with their DPs, in case the shares are held by them in electronic form and with the Company/ Niche Technologies Pvt Ltd., the Registrar and Share Transfer Agent in case the shares are held by them in physical form.

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7. Documents referred to in the accompanying Notice and the statement and other statutory registers are available for inspection by members at the Registered Office of the Company during office hours on all working days except Saturdays, Sundays and Holidays between 11:00 a.m. to 1:00 p.m. up to the date of Annual General Meeting.
8. Members / proxies are requested to bring their attendance slip along with their copy of Annual Report to the meeting. As a measure of economy, copies of the Annual Report will not be distributed at the meeting. Members, who hold shares in dematerialised form, are requested to bring their Client ID and DP ID numbers for easy identification of attendance at the meeting.
9. Members holding shares in electronic form are requested to intimate immediately any change in their address or bank mandates to their Depository Participants with whom they are maintaining their demat accounts. Members holding shares in physical form are requested to notify any change in their address or bank mandates immediately to the RTA.
10. The Securities and Exchange Board of India (SEBI) has mandated the submission of PAN by every participant in the securities market. Members holding shares in electronic form are therefore, requested to submit their PAN to their Depository Participants. Members holding shares in physical form are required to submit their PAN details to the company.
11. Members holding shares in the same name under different Ledger Folios are requested to apply for consolidation of such Folios and send the relevant share certificates to Niche Technologies Pvt. Ltd. for their doing the needful.
12. Members are requested to notify change in address, if any, immediately to Niche Technologies Pvt. Ltd. quoting their folio numbers.
13. The Notice of the 36th AGM and instructions for e-voting, along with the Attendance Slip and Proxy Form, is being sent by electronic mode to all members whose email addresses are registered with the Company / Depository Participant(s) unless a member has requested for a hard copy of the same. Members may also note that the Notice of the 36th AGM and the Annual Report 2024 will be available on the Company's website, www.baidmercantiles.com. The Notice can also be accessed from the websites of the Stock Exchanges where the shares are listed, viz www.cse-india.com. The said Notice is also available on the website of NSDL at www.evoting.nsdl.com.
14. Members seeking any information on the financial accounts, operations or any matter to be placed at the AGM, are requested to write to the Company till 5.00 P.M. (IST) on Friday, 09th August, 2024 through e-mail at baidmercantiles1988@gmail.com and the same will be suitably replied by the Company.
15. Members who have not registered their e-mail addresses so far are requested to register their e-mail address for receiving all communication including Annual Report, Notices, Circulars, etc. from the Company electronically.

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16. Additional information, as required under Regulation 36(3) of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 in respect of director seeking appointment / reappointment are given hereunder:

Name	Mrs. Sabita Khandelwal
Date of Birth	04/06/1973
Specialised Expertise	She has expertise in matters related to finance, accounts and general business administration.
Qualifications	Graduate
Directorship in Other Public Limited Companies apart from this Company as on 31 st March, 2024	Nil
Chairman/Member of the committees in which he is a Director apart from this Company as on 31 st March, 2024	Nil
Shareholding in the company	Nil

17. All documents, transfers, dematerialization requests and other communications in relation thereto should be addressed directly to the Company's Registrar and Transfer Agent, Niche Technologies Pvt Ltd, at the address mentioned below:

NICHE TECHNOLOGIES PRIVATE LIMITED

7th Floor, Room No. 7A & 7B,

3A, Auckland Place, Kolkata – 700017

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Email Id: baidmercantiles1988@gmail.com

STATEMENT PURSUANT TO SECTION 102(1) OF THE COMPANIES ACT, 2013

Item No. 3 & 4:

The Board of Directors of the Company, on the recommendation of the Audit Committee, had appointed **M/s. G. P. Agrawal & Co.**, Chartered Accountants, FRN: 302082E, as the Statutory Auditors of the Company for the Financial Year 2023-24, at their meeting held on 15th May, 2024, to fill the casual vacancy caused by resignation of previous Statutory Auditors of the Company, M/s. Ranjit Jain & Co., Chartered Accountants.

Further, the Audit Committee of the Company, at their meeting held on 15th May, 2024, noted the resignation of the previous Statutory Auditors of the Company, **M/s. Ranjit Jain & Co.**, Chartered Accountants, was caused due to the lapse of their Peer Review Certificate and accordingly, being ineligible to issue Audit Report(s), as per the requirements of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015. The Committee also noted that the previous Auditors have not raised any other concern / issue / reason for their resignation, except as stated above.

Further, the Board of Directors of the Company, on the recommendation of the Audit Committee, had proposed **M/s. G. P. Agrawal & Co.**, Chartered Accountants, FRN: 302082E, as the Statutory Auditors of the Company for a term of five financial years commencing from April 1, 2024 upto the Annual General Meeting to be held in the year 2029, at their meeting held on 13th July, 2024.

The above mentioned appointments of M/s. G. P. Agrawal & Co., Chartered Accountants, as the Statutory Auditors of the Company for respective the Financial Years, is subject to approval by members of the Company in the ensuing Annual General Meeting.

Other information:

Particulars	Details
Proposed audit fee payable to auditors & terms of appointment	The fees payable to M/s. G. P. Agrawal & Co. , Chartered Accountants, FRN: 302082E, if appointed by the shareholders, will be within the ceiling of Rs. 1.5 Lakhs per annum for every financial year, during their tenure of five years, based on mutual discussion with them and subject to approval of the Audit Committee and Board of Directors of the Company.
Basis of recommendation for appointment	Appointment of M/s. G. P. Agrawal & Co. , Chartered Accountants, FRN: 302082E, as the Statutory Auditors of the Company was recommended by the Audit Committee. Further, None of the Directors, Key Managerial Personnel(s) of the Company and their relatives are, in any way, concerned or interested, financially or otherwise, in the resolution(s) set out at Item Nos. 3 & 4 of this Notice.

Brief Profile

M/s G. P. Agrawal & Co., Chartered Accountants, FRN: 302082E, is a renowned Audit firms, headquartered at Kolkata, West Bengal, having a Pan-India presence. The firm provides services in diversified fields, including Audit and Assurance, Taxation, Financial Advisory, Capital Market and Corporate Laws.

BAID MERCANTILES LTD.

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Email Id: baidmercantiles1988@gmail.com

The firm was founded by Late G.P. Agrawal in 1954. At present the firm has 7 partners and 100+ workforce, with brilliant academic background and proven record of professional excellence.

M/s G. P. Agrawal & Co., Chartered Accountants, have given their consent to act as the Statutory Auditors of the Company and have confirmed that the said re-appointment, if made, will be in accordance with the conditions prescribed under Sections 139 and 141 of the Act. They have further confirmed that they are not disqualified to act as the Statutory Auditors in terms of the Act and the rules made thereunder.

Item No. 5:

The Board of Directors of the Company at their meeting held on 13th July, 2024, subject to approval of members, have proposed to reappointed Mr. Binod Kumar Khandelwal (DIN – 00710467) as the Managing Director of the Company for a further term of five years, with effect from 17th February, 2025, on the terms and conditions as may be recommended by Nomination and Remuneration Committee and as per the applicable provisions of the Companies Act, 2013.

Other information:

Particulars	Details
DIN	00710467
Age	51 years
Qualification / Degree	Graduate
Expertise in specific functional area	Accounts, Finance, Banking and General Business Administration
Terms and conditions of appointment / re-appointment along with details of remuneration	As details provided in the resolution at the item no. 5 of this notice
Remuneration last drawn as per latest audited Balance Sheet as on 31 st March, 2024	INR 1,11,101/-
Date of first appointment on Board	26.07.2006
Relationship with other Directors/KMP	NA
Directorship held in other companies as on 31 st March, 2024	1. GBC Mining Limited 2. Durgapur Mining Private Limited 3. Pakchnati Barter Private Limited 4. Excel Vincom Private Limited 5. Fortune Merchandise Private Limited 6. Classic Barter Pvt. Ltd 7. Excellant Real Estates Private Limited
Chairman/Member of the committees in which he is a Director apart from this Company as on 31 st March,	Nil

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Contact No.:8336989140

Website:www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

2024	
Shareholding in the company	Nil

Brief Profile

Mr. Binod Kumar Khandelwal (DIN – 00710467) is the Managing Director of the Company. He has immense knowledge and vast experience in conducting the business and affairs of the Company, smoothly and efficiently. The Company has grown effectively under his leadership and it would be beneficial in the interest of the Company to reappoint him as the Managing Director for a further term of five years, with effect from 17th February, 2025 upto 16th February, 2030.

Nomination and Remuneration Committee (NRC) on the basis of performance evaluation has recommended the reappointment of Mr. Binod Kumar Khandelwal as the Managing Director of the Company and remuneration payable to him shall not exceed the ceiling limit prescribed under the provisions of the Companies Act, 2013. The Board considered the recommendation of NRC Committee and proposes the reappointment of Mr. Binod Kumar Khandelwal by the members of the Company at the ensuing Annual General Meeting of the Company.

Mr. Binod Kumar Khandelwal is qualified to be appointed as a Director in terms of Section 164 of the Companies Act, 2013 and has given his consent to act as a Director.

Further, none of the Directors or Key Managerial Personnel or their relatives, are concerned or interested in the proposed resolution as set out in the Notice.

Item No. 6:

The Board of Directors of the Company at their meeting held on 13th July, 2024, on the recommendation of the Nomination and Remuneration Committee of the Company and subject to the approval by the members, have resolved to reappoint Mr. Ashish Kumar Upadhyay (DIN – 08730076) as an Independent Director of the Company, for a period of five years, on expiry of his first term of office, with effect from 30th March, 2025 up to 29th March, 2030.

Other information:

Particulars	Details
DIN	08730076
Age	38 years
Qualification / Degree	Chartered Accountant
Expertise in specific functional area	Finance, Taxation, Banking and Accountancy
Terms and conditions of appointment / re-appointment along with details of remuneration	As details provided in the resolution at the item no. 6 of this notice
Remuneration last drawn as per latest audited	Nil

BAID MERCANTILES LTD.

58 Elliot Road, 2nd Floor, Kolkata – 700016

CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website:www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

Balance Sheet as on 31st March, 2024	
Date of first appointment on Board	30.03.2020
Relationship with other Directors/KMP	NA
Directorship held in other companies as on 31 st March, 2024	Nil
Chairman/Member of the committees in which he is a Director apart from this Company as on 31 st March, 2024	Nil
Shareholding in the company	Nil

Brief Profile

Mr. Ashish Kumar Upadhyay (DIN – 08730076) was appointed as an Independent Director of the Company with effect from 30th March, 2020. His first term of appointment will complete on 29th March, 2025. Mr. Upadhyay has expertise in finance, accounts, banking and taxation. His work exposure and experience would be beneficial for the growth of the Company.

Mr. Ashish Kumar Upadhyay possesses appropriate skills, experience, Knowledge and capabilities required for the role of Independent Director.

The Nomination and Remuneration Committee (NRC) on the basis of his performance evaluation has recommended his re-appointment as an Independent Director for the second term of five years commencing from 30th March, 2025 up to the 29th March, 2030. The Board considered the recommendation of NRC Committee and proposes the reappointment of Mr. Ashish Kumar Upadhyay by the members of the Company at the ensuing Annual General Meeting of the Company.

Mr. Ashish Kumar Upadhyay is qualified to be appointed as a Director in terms of Section 164 of the Companies Act, 2013 and has given his consent to act as a Director. The Company has also received declaration from him that he meets the criteria of independence as prescribed under Companies Act, 2013 and Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further, none of the Directors or Key Managerial Personnel or their relatives, are concerned or interested in the proposed resolution as set out in the Notice.

Item No. 7:

The Board of Directors of the Company at their meeting held on 13th July, 2024, on the recommendation of the Nomination and Remuneration Committee of the Company and subject to the approval by the members,,

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have proposed to appoint Mr. Ashwani Agarwal (DIN – 10695507) as an Independent Director of the Company, for the period of five years, with effect from 12th August, 2024 up to 11th August, 2029.

Other information:

Particulars	Details
DIN	10695507
Age	41 years
Qualification / Degree	Chartered Accountant
Expertise in specific functional area	Business Development and Restructuring, Financial Management, Legal, Accounts and Taxation
Terms and conditions of appointment / re – appointment along with details of remuneration	As details provided in the resolution at the item no. 7 of this notice
Remuneration last drawn as per latest audited Balance Sheet as on 31st March, 2024	NA
Date of first appointment on Board	NA
Relationship with other Directors/KMP	NA
Directorship held in other companies as on 31st March, 2024	Nil
Chairman/Member of the committees in which he is a Director apart from this Company as on 31st March, 2024	Nil
Shareholding in the company	Nil

Brief Profile

Mr. Ashwani Agarwal (DIN – 10695507) is a Chartered Accountant from The Institute of Chartered Accountants of India and Bachelor of Commerce from The University of Calcutta, possessing almost two decades of experience in the field of Business development and administration, Corporate Structuring, Financial Planning and Management, Accounts, Taxation and Legal. He has vast working knowledge and experience, which would be beneficial for the growth of the Company.

Mr. Ashwani Agarwal possesses requisite skills, experience, knowledge and capabilities required for the role of Independent Director.

The Nomination and Remuneration Committee (NRC) has recommended his appointment as an Independent Director for the term of five years commencing from 12th August, 2024 up to 11th August, 2029. The Board considered the recommendation of the NRC and proposes the appointment of Mr. Ashwani Agarwal by the members of the Company at the ensuing Annual General Meeting of the Company.

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Mr. Ashwani Agarwal is qualified to be appointed as a Director in terms of Section 164 of the Companies Act, 2013 and has given his consent to act as a Director. The Company has also received declaration from him that he meets the criteria of independence as prescribed under Companies Act, 2013 and Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015.

Further, none of the Directors or Key Managerial Personnel or their relatives, are concerned or interested in the proposed resolution as set out in the Notice.

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THE INSTRUCTIONS FOR MEMBERS FOR REMOTE E-VOTING AND JOINING GENERAL MEETING ARE AS UNDER:-

The remote e-voting period begins on Friday, 09th Day of August, 2024 at 9:00 A.M. (IST) and ends on Sunday, 11th Day of August, 2024 at 5:00 P.M. (IST). The remote e-voting module shall be disabled by NSDL for voting thereafter. The Members, whose names appear in the Register of Members / Beneficial Owners as on the record date (cut-off date) i.e. 05th Day of August, 2024, may cast their vote electronically. The voting right of shareholders shall be in proportion to their share in the paid-up equity share capital of the Company as on the cut-off date, being 05th Day of August, 2024.

How do I vote electronically using NSDL e-Voting system?

The way to vote electronically on NSDL e-Voting system consists of “Two Steps” which are mentioned below:

Step 1: Access to NSDL e-Voting system

A) Login method for e-Voting for Individual shareholders holding securities in demat mode

In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are advised to update their mobile number and email Id in their demat accounts in order to access e-Voting facility.

Login method for Individual shareholders holding securities in demat mode is given below:

Type of shareholders	Login Method
Individual Shareholders holding securities in demat mode with NSDL.	- Existing IDeAS user can visit the e-Services website of NSDL Viz. https://eservices.nsdl.com either on a Personal Computer or on a mobile. On the e-Services home page click on the “Beneficial Owner” icon under “Login” which is available under ‘IDeAS’ section, this will prompt you to enter your existing User ID and Password. After successful authentication, you will be able to see e-Voting services under Value added services. Click on “Access to e-Voting” under e-Voting services and you will be able to see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be re-directed to e-Voting website of NSDL for casting your vote during the remote e-Voting period If you are not registered for IDeAS e-Services, option to register is available at https://eservices.nsdl.com. Select “Register Online for IDeAS Portal” or click at https://eservices.nsdl.com/SecureWeb/IdeasDirectReg.jsp - Visit the e-Voting website of NSDL. Open web browser by typing the following URL: https://www.evoting.nsdl.com/ either on a Personal Computer or on a mobile. Once the home page of e-Voting system is launched, click on the icon “Login” which is available under ‘Shareholder/Member’ section. A

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	new screen will open. You will have to enter your User ID (i.e. your sixteen digit demat account number hold with NSDL), Password/OTP and a Verification Code as shown on the screen. After successful authentication, you will be redirected to NSDL Depository site wherein you can see e-Voting page. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period. 3. Shareholders/Members can also download NSDL Mobile App “NSDL Speede” facility by scanning the QR code mentioned below for seamless voting experience. NSDL Mobile App is available on  App Store  Google Play  
Individual Shareholders holding securities in demat mode with CDSL	1. Users who have opted for CDSL Easi / Easiest facility, can login through their existing user id and password. Option will be made available to reach e-Voting page without any further authentication. The users to login Easi /Easiest are requested to visit CDSL website www.cdslindia.com and click on login icon & New System Myeasi Tab and then user your existing my easi username & password. 2. After successful login the Easi / Easiest user will be able to see the e-Voting option for eligible companies where the evoting is in progress as per the information provided by company. On clicking the evoting option, the user will be able to see e-Voting page of the e-Voting service provider for casting your vote during the remote e-Voting period. Additionally, there is also links provided to access the system of all e-Voting Service Providers, so that the user can visit the e-Voting service providers’ website directly. 3. If the user is not registered for Easi/Easiest, option to register is available at CDSL website www.cdslindia.com and click on login & New System Myeasi Tab and then click on registration option.

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	4. Alternatively, the user can directly access e-Voting page by providing Demat Account Number and PAN No. from a e-Voting link available on www.cdslindia.com home page. The system will authenticate the user by sending OTP on registered Mobile & Email as recorded in the Demat Account. After successful authentication, user will be able to see the e-Voting option where the evoting is in progress and also able to directly access the system of all e-Voting Service Providers.
Individual Shareholders (holding securities in demat mode) login through their depository participants	You can also login using the login credentials of your demat account through your Depository Participant registered with NSDL/CDSL for e-Voting facility. Upon login, you will be able to see e-Voting option. Once you click on e-Voting option, you will be redirected to NSDL/CDSL Depository site after successful authentication, wherein you can see e-Voting feature. Click on company name or e-Voting service provider i.e. NSDL and you will be redirected to e-Voting website of NSDL for casting your vote during the remote e-Voting period.

Important note: Members who are unable to retrieve User ID/ Password are advised to use Forget User ID and Forget Password option available at abovementioned website.

Helpdesk for Individual Shareholders holding securities in demat mode for any technical issues related to login through Depository i.e. NSDL and CDSL.

Login type	Helpdesk details
Individual Shareholders holding securities in demat mode with NSDL	Members facing any technical issue in login can contact NSDL helpdesk by sending a request at evoting@nsdl.co.in or call at 022 - 4886 7000
Individual Shareholders holding securities in demat mode with CDSL	Members facing any technical issue in login can contact CDSL helpdesk by sending a request at helpdesk.evoting@cdslindia.com or contact at toll free no. 1800 22 55 33

B) Login Method for e-Voting for shareholders other than Individual shareholders holding securities in demat mode and shareholders holding securities in physical mode.

How to Log-in to NSDL e-Voting website?

1. Visit the e-Voting website of NSDL. Open web browser by typing the following URL: <https://www.evoting.nsdl.com/> either on a Personal Computer or on a mobile.
2. Once the home page of e-Voting system is launched, click on the icon "Login" which is available under 'Shareholder/Member' section.

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Email Id: baidmercantiles1988@gmail.com

3. A new screen will open. You will have to enter your User ID, your Password/OTP and a Verification Code as shown on the screen.
Alternatively, if you are registered for NSDL eservices i.e. IDEAS, you can log-in at <https://eservices.nsdl.com/> with your existing IDEAS login. Once you log-in to NSDL eservices after using your log-in credentials, click on e-Voting and you can proceed to Step 2 i.e. Cast your vote electronically.

4. Your User ID details are given below :

Manner of holding shares i.e. Demat (NSDL or CDSL) or Physical	Your User ID is:
a) For Members who hold shares in demat account with NSDL.	8 Character DP ID followed by 8 Digit Client ID For example if your DP ID is IN300*** and Client ID is 12***** then your user ID is IN300***12*****.
b) For Members who hold shares in demat account with CDSL.	16 Digit Beneficiary ID For example if your Beneficiary ID is 12***** then your user ID is 12*****.
c) For Members holding shares in Physical Form.	EVEN Number followed by Folio Number registered with the company For example if folio number is 001*** and EVEN is 101456 then user ID is 101456001***

5. Password details for shareholders other than Individual shareholders are given below:
- If you are already registered for e-Voting, then you can use your existing password to login and cast your vote.
 - If you are using NSDL e-Voting system for the first time, you will need to retrieve the 'initial password' which was communicated to you. Once you retrieve your 'initial password', you need to enter the 'initial password' and the system will force you to change your password.
 - How to retrieve your 'initial password'?
 - If your email ID is registered in your demat account or with the company, your 'initial password' is communicated to you on your email-ID. Trace the email sent to you from NSDL from your mailbox. Open the email and open the attachment i.e. a .pdf file. Open the .pdf file. The password to open the .pdf file is your 8 digit client ID for NSDL account, last 8 digits of client ID for CDSL account or folio number for shares held in physical form. The .pdf file contains your 'User ID' and your 'initial password'.
 - If your email ID is not registered, please follow steps mentioned below in **process for those shareholders whose email ids are not registered.**
6. If you are unable to retrieve or have not received the "Initial password" or have forgotten your password:
- Click on "**Forgot User Details/Password?**" (If you are holding shares in your demat account with NSDL or CDSL) option available on www.evoting.nsdl.com.
 - "**Physical User Reset Password?**" (If you are holding shares in physical mode) option available on www.evoting.nsdl.com.
 - If you are still unable to get the password by aforesaid two options, you can send a request at evoting@nsdl.co.in mentioning your demat account number/folio number, your PAN, your name and your registered address etc.
 - Members can also use the OTP (One Time Password) based login for casting the votes on the e-Voting system of NSDL.
7. After entering your password, tick on Agree to "Terms and Conditions" by selecting on the check box.

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8. Now, you will have to click on “Login” button.
9. After you click on the “Login” button, Home page of e-Voting will open.

Step 2: Cast your vote electronically on NSDL e-Voting system.

How to cast your vote electronically on NSDL e-Voting system?

1. After successful login at Step 1, you will be able to see all the companies “EVEN” in which you are holding shares and whose voting cycle and General Meeting is in active status.
2. Select “EVEN” of company for which you wish to cast your vote during the remote e-Voting period.
3. Now you are ready for e-Voting as the Voting page opens.
4. Cast your vote by selecting appropriate options i.e. assent or dissent, verify/modify the number of shares for which you wish to cast your vote and click on “Submit” and also “Confirm” when prompted.
5. Upon confirmation, the message “Vote cast successfully” will be displayed.
6. You can also take the printout of the votes cast by you by clicking on the print option on the confirmation page.
7. Once you confirm your vote on the resolution, you will not be allowed to modify your vote.

General Guidelines for shareholders

1. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) are required to send scanned copy (PDF/JPEG Format) of the relevant Board Resolution/ Authority letter etc. with attested specimen signature of the duly authorized signatory(ies) who are authorized to vote, to the Scrutinizer by e-mail to patnibl@yahoo.com with a copy marked to evoting@nsdl.com. Institutional shareholders (i.e. other than individuals, HUF, NRI etc.) can also upload their Board Resolution / Power of Attorney / Authority Letter etc. by clicking on “**Upload Board Resolution / Authority Letter**” displayed under “**e-Voting**” tab in their login.
2. It is strongly recommended not to share your password with any other person and take utmost care to keep your password confidential. Login to the e-voting website will be disabled upon five unsuccessful attempts to key in the correct password. In such an event, you will need to go through the “[Forgot User Details/Password?](#)” or “[Physical User Reset Password?](#)” option available on www.evoting.nsdl.com to reset the password.
3. In case of any queries, you may refer the Frequently Asked Questions (FAQs) for Shareholders and e-voting user manual for Shareholders available at the download section of www.evoting.nsdl.com or call on : 022 - 4886 7000 or send a request to Mr. Vikram Jha, Senior Manager, NSDL at evoting@nsdl.co.in

Process for those shareholders whose email-ids are not registered with the depositories for procuring user id and password and registration of email-ids for e-voting for the resolutions set out in this notice:

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1. In case shares are held in physical mode please provide Folio No., Name of shareholder, scanned copy of the share certificate (front and back), PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) by email to baidmercantiles1988@gmail.com.
2. In case shares are held in demat mode, please provide DPID-CLID (16 digit DPID + CLID or 16 digit beneficiary ID), Name, client master or copy of Consolidated Account statement, PAN (self attested scanned copy of PAN card), AADHAR (self attested scanned copy of Aadhar Card) to baidmercantiles1988@gmail.com. If you are an Individual shareholder holding securities in demat mode, you are requested to refer to the login method explained at **step 1 (A)** i.e. **Login method for e-Voting for Individual shareholders holding securities in demat mode.**
3. Alternatively shareholder/members may send a request to evoting@nsdl.com for procuring user id and password for e-voting by providing above mentioned documents.
4. In terms of SEBI circular dated December 9, 2020 on e-Voting facility provided by Listed Companies, Individual shareholders holding securities in demat mode are allowed to vote through their demat account maintained with Depositories and Depository Participants. Shareholders are required to update their mobile number and email-ID correctly in their demat account in order to access e-Voting facility.

By Order of the Board of Directors of
Baid Mercantiles Limited

Place: Kolkata
Date: 13.07.2024

Jyoti Shaw
Company Secretary
Membership No. -A59514

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Form MGT – 11 PROXY FORM

[Pursuant to section 105(6) of the Companies Act, 2013 and Rule 19(3) of the Companies (Management and Administration) Rules, 2014]

CIN : **L70109WB1988PLC044591**
Name of the Company : **BAID MERCANTILES LTD**
REGISTERED OFFICE : **58, ELLIOT ROAD, 2ND FLOOR, KOLKATA – 700016**

Name of the Member (s).....

Registered Address

.....

Email Id:

Folio No.:

I/We being the member (s) ofshares of the above named
Company, hereby appoint.

1. Name:

Address:

Email ID:

Signature:

Or Failing him/her,

2. Name:

Address:

Email ID:

Signature:

Or Failing him/her,

3. Name:

Address:

Email ID:

Signature:

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As my/our proxy to attend and vote (on a pole) for me/us and on my/our behalf at the Annual General Meeting of the Company, to be held on Monday, 12th August, 2024 at 58, Elliot Road, 2nd Floor, Kolkata - 700016 and at any adjournment thereof in respect of such resolutions as are indicated below:

Resolution No.	Resolution	Vote	
		For	Against
ORDINARY RESOLUTION			
1.	To receive, consider and adopt the Audited Annual Standalone Balance Sheet as at 31 st March 2024, the Statement of Profit and Loss for the year ended on that date and the reports of the Board of Directors and Auditors thereon.		
2.	To appoint a Director in place of Mrs. Sabita Khandelwal (DIN-07290866), who retires by rotation and, being eligible, offers herself for reappointment.		
3.	To appoint M/s. G.P. Agrawal & Co., Charter Accountants having Firm Registration Number 302082E, as the Statutory Auditor of the Company for a term of five years commencing from 1 st April, 2024 up to the conclusion of Annual General Meeting to be held in the year 2029.		
4.	Approval of appointment of Statutory Auditor M/s. G.P. Agrawal & Co., for Financial Year 2023-24 to fill the casual vacancy		
SPECIAL RESOLUTION			
5.	To re-appoint Mr. Binod Kumar Khandelwal (DIN - 00710467) as Managing Director of the Company for a further term of five years		
6.	To re-appoint Mr. Ashish Kumar Upadhyay (DIN-08730076) as an Independent Director of the Company for the second term of five years		
7.	To appoint Mr. Ashwani Agarwal (DIN- 10695507) as an Independent Director of the Company for a term of five years		

Signed this Day of 2024

Signature of the Shareholder:

Signature of 1st Proxy holder (s):

Signature of 2nd Proxy holder (s):

Signature of 3rd Proxy holder (s):

Affix
Revenue
Stamp

BAID MERCANTILES LTD.

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CIN: L70109WB1988PLC044591

Contact No.:8336989140

Website:www.baidmercantiles.com

Email Id: baidmercantiles1988@gmail.com

NOTE: This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, at Baid Mercantiles Limited, 58, Elliot Road, 2ND Floor, Kolkata – 700016, not less than 48 hours before the commencement of the meeting.

Notes:

- 1) This form of proxy in order to be effective should be duly completed and deposited at the Registered Office of the Company, not less than 48 hours before the commencement of the Meeting.
 - 2) A proxy need not be a member of the Company and shall prove his identity at the time of attending the Meeting.
 - 3) A person can act as a proxy on behalf of members not exceeding fifty and holding in the aggregate not more than 10% of the total share capital of the Company carrying voting rights. A member holding more than 10% of the total share capital of the Company carrying voting rights may appoint a single person as proxy and such person shall not act as a proxy for any other person or Member.
 - 4) This is only optional. Please put a 'T' in the appropriate column against the resolutions indicated in the Box. If you leave the 'For' or 'Against' column blank against any or all the resolutions, your proxy will be entitled to vote (on poll) at the Meeting in the manner he/she thinks appropriate.
 - 5) Appointing a proxy does not prevent a member from attending the Meeting in person if he / she so wishes. When a member appoints a proxy and both the Member and proxy attend the Meeting, the proxy will stand automatically revoked.
 - 6) In the case of joint holders, the signature of any one holder will be sufficient, but names of all the joint holders should be stated.
 - 7) This form of proxy shall be signed by the appointer or his attorney duly authorised in writing, or if the appointer is a body corporate, be under its seal or be signed by an officer or an attorney duly authorised by it.
 - 8) This form of proxy will be valid only if it is duly completed in all respects, properly stamped and submitted as per the applicable law. Incomplete form or form which remains unstamped or inadequately stamped or form upon which the stamps have not been cancelled will be treated as invalid.
 - 9) Undated proxy form will not be considered valid.
 - 10) If Company receives multiple proxies for the same holdings of a member, the proxy which is dated last will be considered valid; if they are not dated or bear the same date without specific mention of time, all such multiple proxies will be treated as invalid.
-

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Dear Shareholder(s),

Sub: Service of Documents through Electronic Mode

Your Company is making an effort to build a greener world and we request your support. You are requested to subscribe to a soft copy of the Company's various documents like Notices of Meetings, Annual Reports and other shareholder communication by registering your email id with your Depository Participant (DP)/Company, if you have not already done so. You are also requested to keep your DP/Company informed of any change in your email id. With this one small action, you could leave a greener legacy for future generations. We look forward to your support.

Thanking you,

Yours sincerely

For BAID MERCANTILES LIMITED

JYOTI SHAW
COMPANY SECRETARY

-----Cut Here-----

ATTENDANCE SLIP

Shareholders attending the Meeting in person or by Proxy are requested to complete the attendance slip and hand it over at the entrance of the meeting hall.

DPID* :	FOLIO NO. :
CLIENT ID. * :	NO. OF SHARES HELD :

I/We hereby record my/our presence at 36th Annual General Meeting of the Company held at 58, Elliot Road, 2ND Floor, Kolkata – 700016 at 02:00 P.M. on Monday, the 12th Day of August, 2024.

NAME(S) OF THE MEMBER(S)	
SIGNATURE OF THE MEMBER(S)	

Full Name of proxy (Block Letters)

Members / proxy's Signature

NOTE: Shareholder/Proxyholder desiring to attend the meeting should bring his copy of the Annual Report for reference at the meeting.

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ROUTE MAP FOR THE VENUE OF THE ANNUAL GENERAL MEETING

